

NMLS SAFE MLO

Full-Length Practice Exam Phase 3 — Exam 4

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 3 — Exam 4 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. An application is received on Tuesday. The lender mails the Loan Estimate (not hand-delivered) on Thursday. Under TRID, when is the borrower presumed to have received the Loan Estimate?

- A) Thursday (day of mailing)
- B) Monday (3 business days after mailing — Saturday, Sunday do not count for delivery presumption)
- C) Sunday (3 calendar days after mailing)
- D) Friday (1 business day after mailing)

[Federal Laws — TRID]

2. A borrower's income changes significantly AFTER the Loan Estimate has been issued but BEFORE closing. Under TRID, this change:

- A) Allows the lender to automatically re-issue the LE with higher origination fees
- B) Does NOT automatically constitute a changed circumstance allowing revised LE fees — a change in borrower income alone does not trigger re-disclosure; only specific categories of changed circumstances are recognized
- C) Requires immediate denial of the application
- D) Requires a new credit check and a new LE automatically

[Federal Laws — RESPA]

3. An MLO's company is affiliated with a title company (shares 35% ownership). The MLO refers a borrower to the title company and provides the required AfBA disclosure. The MLO then says, 'You really should use our title company — they are much faster.' Under RESPA, this additional statement:

- A) Is permissible as long as the AfBA disclosure was provided
- B) May constitute coercion — the AfBA disclosure requires freedom of choice; steering the borrower to the affiliated provider after disclosure could create additional RESPA liability and undermine the freedom-of-choice requirement
- C) Is required to inform the borrower of the affiliated provider's advantages
- D) Is permissible if the MLO personally believes the affiliated provider is better

[Federal Laws — TILA]

4. A lender fails to include a \$300 credit report fee in the finance charge on the Loan Estimate. At closing, the total finance charge is \$300 higher than disclosed. Under TILA's tolerance rules for finance charge accuracy:

- A) The tolerance is \$0 — any underdisclosure of the finance charge is a violation
- B) The tolerance is that the finance charge is considered accurate if it is understated by no more than \$100 (or 0.5% of the loan amount for mortgage loans, whichever is greater, on consumer loans)
- C) The tolerance is \$500 for all mortgage loans
- D) Any underdisclosure of the finance charge requires re-closing

[Federal Laws — ECOA]

5. Under Reg B, an application is considered 'withdrawn' when:

- A) The lender fails to act on an application within 30 days
- B) The applicant expressly withdraws the application before the lender makes a credit decision, or when the applicant fails to provide requested information and the lender has given notice of incompleteness with a specified response deadline that passes
- C) The lender denies the application after reviewing initial information
- D) The borrower misses the closing date

[Federal Laws — RESPA]

6. A mortgage broker is paid a 'yield spread premium' (YSP) by the lender for placing a borrower in a loan with a higher interest rate than the borrower qualified for. Under current Reg Z rules (post-2014):

- A) YSPs are prohibited entirely — no compensation for placing borrowers in higher-cost loans
- B) YSPs are permissible as a legitimate form of lender credit — what is prohibited is tying the MLO's compensation to the loan's rate, APR, or other loan terms; the total MLO compensation may not be based on loan terms
- C) YSPs are allowed only if the borrower consents
- D) YSPs are required to be disclosed on the Loan Estimate

[Federal Laws — TILA]

7. A borrower has an 'extended right of rescission' of 3 years because the lender failed to provide the required rescission notice. The borrower exercises this right on day 1,095. The lender challenges this. Under TILA:

- A) The 3-year period is an absolute maximum and the rescission is timely
- B) The rescission is untimely because the 3-year period is only 1,095 days and day 1,095 exceeds it — the period ended the day before
- C) The 3-year period is only available within the first year
- D) Rescission is only available for the first 3 days in all cases

[Federal Laws — ECOA]

8. A lender denies a credit application, claiming the denial is based on the applicant's income. The applicant is a 70-year-old retired professor receiving pension income. The pension is stable and more than sufficient. Under ECOA's age discrimination provisions:

- A) Age cannot be considered in any credit decision
- B) The lender may not use age as a negative factor when the applicant is of full legal age and has demonstrated creditworthiness; using retirement income rather than employment income is not grounds for denial
- C) Age is a permissible factor for loans longer than 30 years
- D) Denying based on retirement income is always permissible

[Federal Laws — Fair Housing]

9. The Americans with Disabilities Act (ADA) and the Fair Housing Act's disability provisions require that residential properties:

- A) Be constructed with elevators in all buildings of any height
- B) Make 'reasonable accommodations' in rules and 'reasonable modifications' to the physical space when requested by a person with a disability in rental housing — modifications are typically at the tenant's expense in private housing
- C) Be wheelchair accessible in all rooms
- D) Be retrofitted by the owner with accessibility features upon request at no charge

[Federal Laws — HOEPA]

10. A lender offers a loan with 3 points and fees equal to 4% of a \$280,000 loan amount. Does this trigger HOEPA?

- A) Yes — 4% of \$280,000 = \$11,200, which exceeds HOEPA's 3% threshold
- B) No — HOEPA's points and fees threshold for loans $\geq$ \$20,000 is 5%; 4% of \$280,000 = \$11,200, which is below 5% of the loan amount
- C) Yes — any loan with points exceeding 2% is a HOEPA high-cost mortgage
- D) No — HOEPA's threshold is 8% of the loan amount

[Federal Laws — HMDA]

11. A depository institution has \$12 billion in total assets and originates both commercial and residential mortgage loans. Under HMDA, the institution's reporting obligation covers:

- A) All commercial and residential loans
- B) Only residential mortgage loans (home purchase, home improvement, refinancings of residential properties) that meet the covered loan definition — commercial loans are excluded
- C) Only federally insured residential loans

- D) Only loans exceeding the conforming loan limit

[Federal Laws — TRID]

12. Under TRID, the Loan Estimate expires if the borrower does not indicate intent to proceed within how many business days?

- A) 3 business days
- B) The LE does not 'expire' — but the interest rate quoted may expire based on the rate lock agreement, and the lender may re-issue if market conditions have significantly changed
- C) 10 business days — after 10 days the lender may revise the LE
- D) 7 business days

[Federal Laws — ECOA]

13. An adverse action notice for a mortgage denial must state the specific reasons for denial. Which of the following is an UNACCEPTABLE reason for an adverse action notice?

- A) Insufficient income relative to obligations
- B) Credit score below our minimum required level
- C) We don't like your creditworthiness
- D) Excessive debt-to-income ratio

[Federal Laws — Fair Housing]

14. Which of the following represents a 'disparate impact' fair lending concern rather than 'disparate treatment'?

- A) A lender who verbally tells minority applicants they won't qualify for the best rates
- B) A lender's minimum loan amount of \$150,000 that, while facially neutral, results in denial of loans in predominantly minority neighborhoods where home values average \$120,000
- C) A lender who charges higher fees based on the borrower's race
- D) A lender who requires additional documentation only from minority applicants

[Federal Laws — HOEPA]

15. A home improvement loan secured by the borrower's primary residence with an interest rate 7% above APOR is originated. The loan has no balloon payment and all fees are within normal range. Under HOEPA:

- A) This is NOT a high-cost mortgage — home improvement loans are exempt from HOEPA
- B) This IS a high-cost mortgage — the APR spread exceeds the 6.5% first-lien threshold for HOEPA, regardless of loan purpose
- C) This is a high-cost mortgage only if fees also exceed the threshold
- D) Home improvement loans have a separate 9% APR threshold

[Federal Laws — HMDA]

16. Under the 2015 HMDA expansion, an institution that is EXEMPT from HMDA reporting because it falls below the volume threshold:

- A) Must still report if it operates in an MSA
- B) May voluntarily report HMDA data
- C) May submit a partial HMDA report covering only purchase transactions
- D) Has no HMDA reporting obligations but may still face fair lending scrutiny through other means

[Federal Laws — TILA]

17. The 'right of rescission' under TILA applies to a second mortgage on a primary residence. The borrower asks whether they can waive this right. An MLO should know that:

- A) The right can always be waived with sufficient written notice
- B) The right of rescission is statutory — it cannot be waived except in genuine personal financial emergencies (requiring a dated written statement by the borrower); lenders cannot require waiver as a condition of the loan
- C) The right is automatically waived if the borrower has a prior mortgage on the property
- D) The right can be waived if the borrower's attorney approves

[Federal Laws — RESPA]

18. An internet lender provides an online platform where multiple settlement service providers (title, escrow, settlement) are pre-selected for the borrower when they use the lender's online application. The lender has financial relationships with all the pre-selected providers. Under RESPA, this arrangement:

- A) Is permissible because it increases efficiency for borrowers
- B) Raises significant RESPA Section 8 concerns — pre-selecting affiliated service providers in a way that effectively steers borrowers to them without full disclosure and freedom of choice could constitute prohibited referrals
- C) Is permissible because it is disclosed in the terms of service
- D) Is permissible as long as the lender pays for the services

[Federal Laws — ECOA]

19. Under ECOA/Reg B, a creditor may ask for the applicant's sex/gender for government monitoring purposes. When may a creditor ask for this information?

- A) For any consumer credit application
- B) Only for home purchase and home improvement loan applications (HMDA-reportable transactions)
- C) Only if the creditor has 100+ employees
- D) For all mortgage applications regardless of HMDA status

[Federal Laws — Fair Housing]

20. The Fair Housing Act's 'protected class' of 'national origin' prohibits discrimination based on:

- A) A person's immigration status only
- B) The country of a person's ancestry or the country where they were born, as well as discrimination based on a person's accent, membership in a national origin group, or association with people of a particular national origin
- C) Income level associated with a certain country
- D) A person's visa type

[Federal Laws — HMDA]

21. A loan is reported as 'approved but not accepted' on the HMDA LAR. This means:

- A) The borrower did not qualify
- B) The lender approved the application and communicated this to the applicant, but the applicant did not proceed with the loan
- C) The loan was approved conditionally pending conditions that were never satisfied
- D) The loan was approved by the underwriter but not by the processor

[Federal Laws — RESPA]

22. Which of the following fees is in the 'NO INCREASE' (zero tolerance) category under TRID?

- A) Homeowner's association transfer fee
- B) Title insurance premium when the borrower selects a different title company than the one on the Written List
- C) Third-party fee charged by an unaffiliated provider NOT on the Written List of Providers and required by the lender
- D) Per diem interest (prepaid interest)

[Federal Laws — TRID]

23. When must the Closing Disclosure be provided for a PURCHASE TRANSACTION as opposed to a REFINANCE?

- A) There is no difference — CD rules are the same for all transactions
- B) For purchase transactions, all parties (buyers AND sellers) receive a CD — the seller's CD shows only the seller's side of the transaction; for refinances, only the borrower receives a CD because there is no seller
- C) For purchases, the CD must be issued 7 business days before closing; for refinances, only 3
- D) For purchases, the CD is required; for refinances, the HUD-1 is used

[Federal Laws — ECOA]

24. An MLO is completing a loan application with a female applicant. The MLO asks: 'Are you pregnant or planning to have children?' Under ECOA/Reg B:

- A) This is permissible to assess future income stability
- B) This question is prohibited — marital status, pregnancy, and plans for children are protected; asking these questions constitutes sex discrimination and could improperly affect the credit decision
- C) This question is only prohibited in states with stronger laws
- D) This is permissible if the question is asked of all applicants equally

[Federal Laws — HOEPA]

25. For HOEPA high-cost mortgages, the 'prepayment penalty' trigger applies when the prepayment penalty:

- A) Is more than 1% of the loan amount
- B) Could require a payment that exceeds 2% of the prepaid amount or that applies after the 36-month period following consummation, or if the loan allows imposition of a prepayment penalty following a default
- C) Is more than 3 months of interest
- D) Applies to any loan with a fixed rate

[Federal Laws — HMDA]

26. A bank has a HMDA LAR with 50 entries. Federal regulators conducting a HMDA examination find that 12 entries (24%) have significant errors. This would MOST LIKELY result in:

- A) A warning letter with no further action
- B) A mandatory HMDA restatement and potentially a civil money penalty depending on the severity, pattern, and whether the errors reflect systemic fair lending problems
- C) Automatic cancellation of the bank's federal deposit insurance
- D) A 30-day cure period with no consequences

[Federal Laws — TRID]

27. A borrower indicates intent to proceed with a loan after receiving the LE. The lender collects an appraisal fee of \$600. The appraisal comes in at a value lower than needed for the loan, and the transaction cannot proceed. The borrower asks for refund of the appraisal fee. Under TRID:

- A) The full \$600 must be refunded regardless of circumstances
- B) The appraisal fee was for a legitimate service actually provided; the fee generally does NOT need to be refunded if the appraisal was performed — the TRID rules govern disclosure of fees, not require refund of fees for services rendered
- C) The fee must be refunded within 3 business days
- D) The lender must apply the fee to future transactions

[Federal Laws — ECOA]

28. Under ECOA, a lender who uses an algorithm or model for credit scoring must ensure that the model:

- A) Always gives higher scores to applicants with longer credit histories
- B) Does not produce discriminatory results even if the factors in the model appear facially neutral — disparate impact caused by algorithmic models may violate ECOA
- C) Only uses credit score factors approved by FICO
- D) Is publicly disclosed to all applicants

■ ■ General Mortgage ■ ■

[General Mortgage — FHA Loans]

29. An FHA borrower with a 580 credit score and 3.5% down payment has the following: UFMIP = 1.75% of base loan amount. If the purchase price is \$200,000 and the base loan amount is \$193,000 ($\$200,000 \times 96.5\%$), the UFMIP financed into the loan is:

- A) \$3,378
- B) \$3,500
- C) \$3,250
- D) \$4,000

[General Mortgage — FHA Loans]

30. Under FHA guidelines, for a 3-unit owner-occupied property, the maximum LTV for a purchase transaction with a credit score above 580 is:

- A) 85%
- B) 96.5%
- C) 90%
- D) 80%

[General Mortgage — VA Loans]

31. A VA-eligible veteran is purchasing a \$600,000 home. The county conforming loan limit is \$766,550. The veteran has full VA entitlement. The down payment required is:

- A) \$0 — full entitlement allows 0% down regardless of purchase price post-2020
- B) \$0 only if the loan amount stays below the conforming loan limit
- C) \$150,000 — 25% of the purchase price
- D) \$120,000 — 20% down payment required

[General Mortgage — Conventional/PMI]

32. A borrower with a 760 credit score and 10% down payment will have a PMI rate significantly different from a borrower with a 660 credit score and 10% down. Which borrower will have the LOWER PMI rate?

- A) The 760 credit score borrower — PMI rates are risk-based and decrease with higher credit scores and lower LTV
- B) The 660 credit score borrower — lower scores get better PMI rates as an incentive
- C) Both borrowers pay the same PMI — PMI rates are standardized
- D) PMI is not required with a 10% down payment

[General Mortgage — ARM Products]

33. An ARM has a start rate of 3.0%, a 5/2/5 cap structure, and a fully indexed rate of 6.0%. After the first 5-year fixed period, what is the MAXIMUM rate at the first adjustment?

- A) 6.0%
- B) 5.0% — initial cap of 5% limits first adjustment to $3\% + 5\% = 8\%$... wait, which is it?
- C) 8.0% — initial cap is 5%, so max first adjustment = $3.0\% + 5.0\% = 8.0\%$
- D) 6.5% — fully indexed rate determines the first adjustment

[General Mortgage — Underwriting/QM]

34. A loan that qualifies under the GSE Patch (CFPB rule allowing Fannie/Freddie loans to be QM even if DTI exceeds 43%) would NOT qualify if:

- A) The borrower's DTI is 48%
- B) The DTI is above 43% and the loan does NOT meet Fannie Mae or Freddie Mac's own underwriting standards — the GSE Patch only applies to loans that are actually eligible for GSE purchase
- C) The loan has 2 discount points
- D) The property is a 2-unit investment property

[General Mortgage — Mortgage Math]

35. A property is listed at \$320,000. The buyer offers \$310,000 which is accepted. The appraisal comes in at \$300,000. The lender will base the loan amount on:

- A) \$320,000 (listing price)
- B) \$310,000 (contract price)
- C) \$300,000 (appraised value — the lower of appraised value or purchase price)
- D) An average of the three values

[General Mortgage — Property/Appraisal]

36. Which of the following would most likely cause an FHA appraiser to REQUIRE REPAIR before the loan can close?

- A) Outdated kitchen cabinets from 1990
- B) A swimming pool with faded paint
- C) A roof with missing shingles causing active leaks into the attic
- D) An older but functioning HVAC system

[General Mortgage — FHA Loans]

37. FHA's 'anti-flipping rule' restricts FHA financing when a property has been resold within what time period after the seller acquired it?

- A) 30 days
- B) 90 days
- C) 180 days
- D) 365 days

[General Mortgage — VA Loans]

38. The VA's minimum active duty service requirement for Gulf War era veterans (August 2, 1990 to present) is:

- A) 90 days active duty
- B) 24 months of continuous active duty OR the full period of active duty called for (not less than 90 days for Gulf War era)
- C) 12 months active duty
- D) 6 years National Guard or Reserve service only

[General Mortgage — Conventional/PMI]

39. A conventional loan with 80% LTV does NOT require PMI. However, a loan with 81% LTV does. The borrower asks if they can make a single extra payment to bring the balance to 80%. Under the Homeowners Protection Act:

- A) The lender must cancel PMI immediately upon any payment that reduces LTV to 80%
- B) The HPA's cancellation provisions are based on the scheduled amortization reaching 80% or 78% — extra principal payments may accelerate this, but for early cancellation based on accelerated payments, the lender may require proof of LTV and good payment history
- C) PMI is automatically cancelled when any payment brings LTV to 80%
- D) PMI can only be cancelled based on appreciation, not extra payments

[General Mortgage — ARM Products]

40. Which of the following ARM loan structures is MOST likely to result in negative amortization?

- A) A 30-year ARM with a 2% annual cap and 6% lifetime cap
- B) A payment-option ARM that offers a minimum payment option below the interest due for the period
- C) A 5/1 ARM with a 5/2/5 cap structure
- D) An interest-only ARM that adjusts after the IO period

[General Mortgage — Underwriting/QM]

41. A borrower with a DTI of 52% applies for a conventional loan. Desktop Underwriter returns 'Refer with Caution.' This MOST LIKELY means:

- A) The borrower qualifies with a higher interest rate
- B) The loan does not meet Fannie Mae's automated underwriting approval standards and likely cannot be originated as a Fannie Mae conforming loan — it may be eligible as a non-QM portfolio loan
- C) The borrower needs a co-signer to qualify
- D) The loan can be approved with 12 months of reserves

[General Mortgage — Mortgage Math]

42. Using the rule of 72, approximately how long does it take for home values to double if they appreciate at an average rate of 6% per year?

- A) 6 years
- B) 12 years
- C) 18 years
- D) 72 years

[General Mortgage — Property/Appraisal]

43. An appraiser is asked by the lender to 'hit a value' of \$350,000 to make the deal work. The appraiser believes the property is worth \$310,000. The appraiser should:

- A) Provide the \$350,000 value the lender requested
- B) Provide the \$310,000 value and decline to alter the report based on the lender's request — appraisal independence is required by FIRREA, Fannie Mae, and ethical standards; altering a value to meet a deal's needs is appraisal fraud
- C) Split the difference at \$330,000
- D) Withdraw and request a new appraiser be assigned

[General Mortgage — FHA Loans]

44. A borrower wants to use an FHA loan to purchase a condominium. The condominium project must:

- A) Only meet state requirements, not FHA requirements
- B) Be on FHA's list of approved condo projects, OR qualify for 'spot approval' (single unit approval) under current FHA rules
- C) Be newly constructed within the past 5 years
- D) Have no more than 50 units in the project

[General Mortgage — VA Loans]

45. The VA funding fee for a first-time use of VA loan benefit with no down payment is currently:

- A) 1.25% of the loan amount
- B) 2.15% of the loan amount for most veterans
- C) 2.3% of the loan amount for most veterans
- D) 3.3% of the loan amount

[General Mortgage — Conventional/PMI]

46. Which of the following is NOT a type of Private Mortgage Insurance structure?

- A) Monthly borrower-paid PMI (BPMI)
- B) Single-premium PMI paid in full at closing
- C) Government-backed PMI insured by FHA
- D) Lender-paid PMI (LPMI) built into the interest rate

[General Mortgage — ARM Products]

47. A borrower has a 7/1 ARM that has reached the end of the fixed period. The index is 4.5%, the margin is 2.5%, and the annual adjustment cap is 2%. If the current rate is 5.0%, what is the rate at the NEXT adjustment?

- A) 4.5% (the index alone determines the rate)
- B) 6.5% (the fully indexed rate: 4.5% + 2.0% margin... no, margin is 2.5%, so fully indexed = 7.0%)
- C) 7.0% — but the 2% periodic cap limits the change from 5.0% to maximum 7.0%
- D) 8.5% — sum of all caps applied

[General Mortgage — Underwriting/QM]

48. Which of the following best describes the 'safe harbor' versus 'rebuttable presumption' QM distinction?

- A) Safe harbor QM loans can never be foreclosed; rebuttable presumption loans can be foreclosed freely
- B) Safe harbor QM loans (non-higher-priced) provide conclusive presumption of ATR compliance — a borrower cannot sue claiming failure to comply with ATR; rebuttable presumption QM loans (higher-priced) can be challenged if borrower shows the lender ignored obvious financial incapacity
- C) All QM loans receive the same legal protection
- D) Rebuttable presumption applies to loans over \$1 million

[General Mortgage — Property/Appraisal]

49. A borrower's purchase contract shows a \$5,000 seller credit for closing costs. How does an appraiser treat this seller credit?

- A) It increases the appraised value by \$5,000
- B) It decreases the appraised value by \$5,000
- C) The seller credit does not directly affect the appraised value — the appraisal reflects the property's market value based on comparable sales; the seller credit is a financing concession that the lender reviews separately
- D) The appraiser must include the credit in the sales comparison adjustments

[General Mortgage — FHA Loans]

50. An FHA 203(k) Limited (Streamline) is appropriate for renovation projects where total costs are:

- A) Up to \$15,000
- B) Up to \$35,000 (current limit for Limited 203k)
- C) Up to \$100,000
- D) Unlimited with HUD approval

[General Mortgage — VA Loans]

51. VA 'special adaptation grants' (SAH and SHA) differ from VA home loans in that they:

- A) Are loans that must be repaid
- B) Are grants provided to certain severely disabled veterans to build, adapt, or purchase adapted housing — they do not need to be repaid and are separate from the VA home loan benefit
- C) Are only available for mobile homes
- D) Are available to all veterans regardless of disability

[General Mortgage — Mortgage Math]

52. A borrower is refinancing a \$225,000 mortgage. The closing costs total \$4,500. If the refinance saves \$150/month, the break-even point is:

- A) 15 months
- B) 30 months
- C) 45 months
- D) 60 months

[General Mortgage — Property/Appraisal]

53. Which of the following describes a 'drive-by appraisal' (exterior-only inspection)?

- A) An illegal appraisal method never used in mortgage lending
- B) A limited appraisal using only exterior observation and public records, typically used for lower-risk refinances and often reported on Fannie Mae Form 2055
- C) A full appraisal with a drive-by inspection before the interior walkthrough
- D) An automated valuation model (AVM) generated by a computer

[General Mortgage — Underwriting/QM]

54. For a self-employed borrower who is the sole owner of an S-Corporation, qualifying income is determined by:

- A) The salary paid by the S-Corp to the owner only
- B) The owner's W-2 salary PLUS their pro-rata share of S-Corp net income (from K-1, Form 1120S), adjusting for depreciation and other non-cash deductions, averaged over 2 years
- C) The gross revenue of the S-Corp
- D) Net income shown on the S-Corp tax return without adjustment

[General Mortgage — Mortgage Math]

55. A borrower makes bi-weekly mortgage payments (every two weeks instead of monthly). In a year, the borrower makes how many payments?

- A) 24
- B) 26
- C) 12
- D) 52

[General Mortgage — Property/Appraisal]

56. An appraiser uses 4 comparable sales when appraising a subject property. One comparable, 2 blocks away, sold for \$350,000 but required \$15,000 in adjustments. Another, similar in every way, sold next door for \$330,000 with only \$5,000 in adjustments. The appraiser should generally give MORE weight to:

- A) The \$350,000 comparable — higher value protects the lender
- B) The \$330,000 comparable — fewer adjustments required means it is more directly comparable to the subject and its adjusted value is more reliable
- C) The average of all comparables
- D) The highest adjusted value

■■ Loan Origination ■■

[Loan Origination — Application/1003]

57. Under HMDA Reg C, a financial institution must report the Action Taken date. For a loan that is originated, the Action Taken date is:

- A) The date the application was received
- B) The date the loan was funded/closed (originated)
- C) The date of the appraisal
- D) The date the underwriter approved the loan

[Loan Origination — Income/DTI]

58. A borrower earns \$100,000/year base salary plus 25% annual bonus (historically received for 3 years). They pay \$1,500/month child support and have a \$400/month car payment. The proposed PITI is \$2,500. DTI using base salary only (no bonus):

- A) 48%
- B) 52.8%
- C) 44%

D) 58%

[Loan Origination — Credit Analysis]

59. A borrower's FICO score is 699. Their lender requires a minimum 700 for the requested product. The MLO discovers the score is 699 partly because of an error — a collection that was paid 2 years ago but still shows as open. The BEST course of action is:

- A) Advise the borrower to open a new credit card to boost the score
- B) Investigate the error; if documentable (paid receipt, creditor letter), submit for rapid rescore to correct the error and potentially achieve the 700+ score
- C) Deny the loan based on the 699 score
- D) Switch the borrower to a different product with a lower score requirement without discussing the error

[Loan Origination — Disclosures]

60. A borrower signs the Loan Estimate on a Tuesday. The lender has set an interest rate lock expiration of 10 business days from the LE date. If the borrower doesn't indicate intent to proceed until Thursday of the following week, the rate lock may:

- A) Never expire — rate locks are guaranteed for 30 days by federal law
- B) Have already expired or be close to expiring based on the lender's lock policy — the MLO should clarify the rate lock status and expiration when the borrower indicates intent to proceed
- C) Automatically renew for another 10 days
- D) Be extended at no cost to the borrower

[Loan Origination — Products/Programs]

61. A borrower asks about a 'stated asset' loan where they claim to have \$200,000 in savings without providing bank statements. Under current regulations:

- A) Stated asset loans are fully permissible for non-QM products
- B) While stated income is prohibited for QM, stated assets are not explicitly prohibited under ATR as a standalone concept — however, verification of assets is part of responsible underwriting, and unverified assets may still fail the 'good faith' ATR determination
- C) Stated asset loans are legal if the borrower signs an affidavit
- D) Stated asset loans are never permissible under any regulation

[Loan Origination — Income/DTI]

62. A borrower's gross monthly income is \$10,000. Their total monthly debt payments including the new housing payment will be \$3,800. What is the back-end DTI, and is this within Fannie Mae's standard maximum?

- A) 38% DTI — within Fannie Mae's 36% maximum
- B) 38% DTI — within Fannie Mae's 45% standard maximum
- C) 42% DTI — exceeds Fannie Mae's 38% maximum
- D) 38% DTI — Fannie Mae has no DTI limit

[Loan Origination — Credit Analysis]

63. A borrower has two late payments: 30-day late on a credit card 18 months ago and a 60-day late on an auto loan 30 months ago. Under FHA guidelines, is this borrower eligible?

- A) No — any late payment in 24 months disqualifies an FHA borrower
- B) FHA's minimum requirements look at overall credit history context; most recent 12-24 months are most important; isolated lates with otherwise good credit may be acceptable; the underwriter evaluates the totality of the credit profile
- C) No — 60-day lates require a minimum 3-year waiting period
- D) Yes — FHA ignores all lates under 90 days

[Loan Origination — Disclosures]

64. A borrower wants to know if they can negotiate who pays for the owner's title insurance. Under TRID, the owner's title insurance is:

- A) Always paid by the seller in all states
- B) Listed as a separate optional service that the borrower can shop for in most cases; local custom varies (buyer or seller pays); it may be negotiated between parties
- C) Required to be paid by the lender
- D) Only required for purchase transactions over \$500,000

[Loan Origination — Processing/Closing]

65. In a purchase transaction, the buyer's earnest money deposit is typically:

- A) Returned to the buyer at closing in all cases
- B) Applied toward the buyer's down payment and closing costs at closing, reducing the cash needed from the buyer
- C) Retained by the seller as profit
- D) Deposited with the lender to be held in escrow until the loan is paid off

[Loan Origination — Income/DTI]

66. For a borrower with a deferred student loan (loan in deferment with no current payment), Fannie Mae requires the MLO to include in DTI:

- A) Nothing — deferred loans are excluded from DTI
- B) 1% of the outstanding student loan balance as a monthly payment
- C) 0.5% of the outstanding student loan balance — this was Fannie Mae's updated approach
- D) The actual payment that will be due when deferment ends

[Loan Origination — Credit Analysis]

67. Under the Fair Credit Reporting Act, when a lender takes adverse action based partly on information in a credit report, the lender must:

- A) Provide a copy of the credit report to the applicant with the adverse action notice
- B) Inform the applicant of their right to obtain a free copy of the credit report from the CRA within 60 days and their right to dispute inaccurate information — the notice typically names the CRA used
- C) Pay for the borrower's credit monitoring for 1 year
- D) Obtain the borrower's written consent before pulling the credit report

[Loan Origination — Application/1003]

68. A lender receives an application for a \$25,000 home improvement loan secured by a second lien on the borrower's primary residence. Is this a HMDA-reportable transaction?

- A) No — HMDA only covers purchase loans
- B) Yes — home improvement loans secured by a dwelling are HMDA-reportable covered loans
- C) No — HMDA only covers loans over \$100,000
- D) Yes, but only if the lender exceeds \$1 billion in assets

[Loan Origination — Disclosures]

69. The 'Integrated Mortgage Disclosures' (TRID) replaced which prior forms?

- A) The HUD-1 and the Good Faith Estimate only
- B) The Good Faith Estimate (GFE), the initial Truth-in-Lending disclosure (early TIL), the HUD-1 Settlement Statement, and the final Truth-in-Lending disclosure (final TIL) — replaced by the Loan Estimate and Closing Disclosure
- C) Only the HUD-1 Settlement Statement
- D) The RESPA Section 10 escrow disclosure and the initial TIL

[Loan Origination — Products/Programs]

70. An MLO is working with a borrower who has a low income but wants to purchase a home in a rural area. Which program would MOST appropriately be discussed?

- A) FHA 203(k) rehabilitation mortgage
- B) USDA Rural Development Section 502 Guaranteed Loan — offering 100% financing with an upfront guarantee fee and annual fee, for borrowers in eligible rural areas with moderate income
- C) VA loan (regardless of veteran status)
- D) Jumbo portfolio loan with 10% down

[Loan Origination — Processing/Closing]

71. A title search reveals an old mechanics lien on the property from 15 years ago that was never released. The closing agent should:

- A) Close the loan and ignore the old lien
- B) Resolve the lien before closing — old liens that were not released cloud title and must be cleared (through payoff, release document, or title insurance exception) before the lender can provide clean title insurance
- C) Add the lien amount to the loan balance
- D) Report the lien to HMDA

[Loan Origination — Credit Analysis]

72. A borrower has a 'disputed account' on their credit report — an account they contest as not belonging to them. Under Fannie Mae guidelines, disputed accounts:

- A) Are automatically excluded from the credit analysis
- B) May cause DU to provide a different recommendation; Fannie Mae may require resolution of disputed accounts, especially for derogatory disputed accounts that could affect the loan decision if resolved negatively
- C) Have no impact on the mortgage approval process
- D) Must be paid off before the loan can close

[Loan Origination — Income/DTI]

73. A borrower has rental income from 4 different investment properties (all with mortgages). How is the net rental income calculated?

- A) Gross rents minus all mortgage payments on all properties
- B) Net rental income from Schedule E for each property (gross rent minus allowable expenses, adding back depreciation), averaged over 24 months — positive net income is added to qualifying income; negative is counted as a monthly debt obligation
- C) Only properties with positive cash flow are included
- D) Gross rents from all properties are added to income with no deductions

[Loan Origination — Application/1003]

74. An MLO receives an application from a borrower who discloses they have a pending lawsuit against them for \$500,000. How should this be handled?

- A) Ignore the lawsuit — it is not yet a judgment
- B) Disclose the lawsuit in the loan file and consider the potential liability in underwriting; pending litigation that could result in a significant judgment affecting the borrower's ability to repay is a material consideration
- C) Ask the borrower to settle the lawsuit before applying
- D) Deny the application automatically

[Loan Origination — Products/Programs]

75. A borrower asks about an 'assumable mortgage.' Which of the following loan types is most commonly assumable with lender approval?

- A) Conventional conforming Fannie Mae loans
- B) FHA and VA loans — these government-backed loans are generally assumable with lender approval and qualification of the new borrower
- C) Private jumbo portfolio loans

- D) Adjustable-rate mortgages only

[Loan Origination — Disclosures]

76. If a borrower claims they did not receive the Closing Disclosure 3 business days before closing, the most appropriate resolution is:

- A) Have the borrower sign a waiver at closing
- B) Postpone the closing to ensure the 3-business-day waiting period is satisfied from the date the CD was actually received or deemed delivered — do not close without meeting the required waiting period
- C) Close anyway and send a corrected CD afterward
- D) Have the underwriter override the requirement

[Loan Origination — Processing/Closing]

77. A 'conditional loan approval' (or 'approval subject to conditions') means the underwriter:

- A) Has denied the loan subject to appeal
- B) Has approved the loan provided that specific conditions are satisfied before closing — conditions may include additional documents, explanations, payoff of debts, or other items required by the underwriter
- C) Has approved the loan with no further review needed
- D) Has suspended the loan file pending additional information

[Loan Origination — Income/DTI]

78. Part-time income from a second job held for 18 months may be used for qualifying if:

- A) It has been received for at least 6 months
- B) It has been received for at least 12 months with a history of continuous employment at the second job and reasonable expectation of continuance — Fannie Mae typically requires 12 months for part-time/second job income
- C) It has been received for at least 24 months
- D) Part-time income can never be used for qualifying

[Loan Origination — Credit Analysis]

79. A borrower wants to pay off collections to improve their credit score. The MLO's advice should be:

- A) Pay off all collections immediately — this will always improve the credit score
- B) Be cautious — paying off older collections can sometimes temporarily decrease the FICO score by 'reactivating' old negative items; consult with a credit professional before paying collections to understand the potential score impact
- C) Pay off only collections over \$1,000
- D) Collections don't affect the score once they're over 2 years old

[Loan Origination — Processing/Closing]

80. The recording of a deed and mortgage/deed of trust makes the transaction effective against:

- A) Only the parties who signed the documents
- B) Third parties — public recording provides constructive notice to the world that the buyer now owns the property and the lender has a lien; it establishes priority of the lender's lien against subsequent creditors or buyers
- C) The title company only
- D) The Internal Revenue Service for tax purposes

[Loan Origination — Products/Programs]

81. A 'non-warrantable condominium' is one that:

- A) Was built before 1980
- B) Does not meet Fannie Mae or Freddie Mac guidelines for purchase — typically due to factors like high investor ownership (>35%), pending litigation, owner-occupancy below 50%, or incomplete construction; non-warrantable condos typically require portfolio lending
- C) Has a homeowners association with over 100 units
- D) Is located in a flood zone

[Loan Origination — Income/DTI]

82. For a borrower who recently started a new job (30 days ago) after being unemployed for 6 months, the MLO should:

- A) Use the full prior 2 years of income for qualifying
- B) Use only the current employment income at the current salary; document the new employment with an offer letter or pay stubs; some underwriters may require the borrower to have started and show evidence of actual employment before closing; the income gap requires explanation
- C) Consider the borrower ineligible due to the employment gap
- D) Average the 6 months of unemployment income with the new salary

[Loan Origination — Application/1003]

83. When a borrower has a Social Security number (SSN) on file but a mismatch occurs between the SSN and the borrower's name, the MLO should:

- A) Proceed with the application using the SSN provided
- B) Investigate the discrepancy — SSN mismatches can indicate identity theft, an application error, or potentially fraud; the MLO must verify the borrower's identity with additional documentation before proceeding
- C) Deny the application — SSN mismatches are always fraud
- D) Change the SSN in the system to match the borrower's stated name

[Loan Origination — Disclosures]

84. Which of the following changes from LE to CD would NOT require a new 3-business-day waiting period before closing?

- A) APR increases by 0.2% (more than 1/8%)
- B) The loan product changes from a fixed rate to an ARM
- C) A prepayment penalty is added to the loan terms
- D) The seller's real estate agent is replaced by a different agent in the same transaction

[Loan Origination — Products/Programs]

85. A borrower is purchasing a \$1.5 million luxury home and has 25% to put down. The loan would be \$1.125 million — well above the conforming loan limit. The best product type is:

- A) FHA loan — FHA has no maximum loan amount
- B) VA loan — the \$1.5M price exceeds most VA limits
- C) Jumbo loan from a portfolio lender or private investor — this non-conforming loan requires more flexible criteria and typically stricter underwriting (higher credit score, reserves, lower DTI)
- D) USDA Rural Housing — no maximum loan amount

[Loan Origination — Processing/Closing]

86. The 'right of first refusal' in a condominium development's HOA documents can affect the ability to obtain financing because:

- A) It prevents investors from purchasing units in the development
- B) It may impair the unit's marketability — if the HOA can match any offer and purchase the unit, lenders and GSEs view this as limiting the owner's ability to freely sell; Fannie Mae has guidelines restricting financing in projects with certain types of ROFR provisions
- C) It requires special hazard insurance riders
- D) It increases HOA dues without approval

■ Ethics ■

[Ethics — UDAAP Unfair]

87. An MLO charges different 'administrative fees' to borrowers based on their neighborhood of residence (which correlates with race). Fees in predominantly minority neighborhoods are \$300 higher. Under UDAAP Unfair, the regulator must show:

- A) The MLO was deliberately targeting borrowers based on race
- B) The practice causes substantial injury (\$300 per borrower across thousands of loans = significant aggregate harm); the injury is not reasonably avoidable (fee is set by the lender); and is not outweighed by countervailing benefits
- C) Only that the fees are higher than market rate
- D) That each individual borrower suffered harm above a threshold amount

[Ethics — UDAAP Deceptive]

88. An MLO markets a mortgage product as 'specifically approved by HUD for senior citizens.' The product is not specifically approved or endorsed by HUD — it is simply an FHA-insured loan available to qualified borrowers of any age. This claim is MOST LIKELY:

- A) Permissible because FHA is under HUD and the statement is technically related to HUD
- B) DECEPTIVE — falsely implying government endorsement or special approval for a specific population is misleading; a reasonable senior citizen consumer would likely rely on this false claim of HUD approval in choosing the product, and it is material to their decision
- C) Permissible if a disclaimer is included elsewhere
- D) Only a violation if HUD specifically issues a cease-and-desist

[Ethics — UDAAP Abusive]

89. Under UDAAP's abusive standard, 'taking unreasonable advantage of a consumer's inability to protect their own interests' MOST CLOSELY resembles conduct involving:

- A) Charging any fee that is above market rate
- B) An MLO who targets stroke victims in a rehabilitation facility, knowing they have cognitive impairments that prevent them from understanding the loan terms, and persuading them to take out home equity loans
- C) Any fee charged to a senior citizen
- D) Advertising during prime time television

[Ethics — Fraud for Profit]

90. A mortgage company employee creates fake appraisals for properties that are actually worth 50% less than the stated value. Real loans are taken out by real borrowers who believe the value is accurate. When borrowers default and lenders foreclose, the lenders lose money on the value gap. This is BEST described as:

- A) Occupancy fraud
- B) Air loan scheme
- C) Appraisal fraud for profit — a key component of property flipping or collateral fraud schemes where inflated appraisals enable larger loans, benefiting the fraudster while exposing lenders and investors to losses
- D) Gift fund fraud

[Ethics — Professional Conduct]

91. An MLO's lender offers a 'consumer choice' compensation program where borrowers can choose between: (a) higher rate/lender pays all MLO comp; or (b) lower rate/borrower pays discount points for MLO comp. Under Reg Z:

- A) This structure is prohibited — any variable compensation is illegal
- B) This structure is permissible if administered correctly — compensation can vary based on the method of payment (lender-paid vs. borrower-paid) but the MLO cannot be paid by both the lender and borrower on the same transaction, and the total compensation cannot vary based on loan terms
- C) The MLO must always choose option (a)
- D) The borrower must always choose option (b)

[Ethics — Fraud for Housing]

92. A borrower who currently rents is purchasing a home. Their real estate agent advises them to put 'primary residence' on the application even though the borrower intends to use the home as a rental property while continuing to rent their apartment. The MLO assists in completing the application. Who bears legal responsibility?

- A) Only the real estate agent who gave the advice
- B) All parties who knowingly participated — the borrower (for the misrepresentation), the real estate agent (for advising fraud), and the MLO (for completing an application knowing it contained a material false statement) may face criminal liability
- C) Only the borrower — they signed the application
- D) No one — occupancy designation is not legally significant

[Ethics — Predatory Lending]

93. An MLO consistently places qualified minority borrowers in subprime loans while placing similarly qualified white borrowers in prime loans. This practice is called 'reverse redlining' or loan 'steering.' It violates:

- A) Only RESPA Section 8
- B) ECOA, the Fair Housing Act, UDAAP (potentially), and potentially the Equal Housing Act — steering qualified minority borrowers to higher-cost products based on race is a per se fair lending violation
- C) Only state usury laws
- D) Only the SAFE Act

[Ethics — BSA/AML]

94. The Bank Secrecy Act requires financial institutions to file Currency Transaction Reports (CTRs) for:

- A) All cash transactions
- B) Cash transactions exceeding \$10,000 in a single day — the report is filed with FinCEN (Financial Crimes Enforcement Network)
- C) Cash transactions exceeding \$5,000
- D) Only cash transactions where the customer is known to be a drug dealer

[Ethics — UDAAP Unfair]

95. A servicer repeatedly fails to apply borrowers' payments to their accounts within the standard timeframe, causing late fees to accrue and negative credit reporting even though borrowers paid on time. The CFPB would analyze this under which UDAAP standard FIRST?

- A) ABUSIVE — the servicer is taking advantage of borrowers
- B) UNFAIR — the practice causes substantial injury (late fees, negative credit impact); the injury is not reasonably avoidable (borrowers submitted timely payments but the servicer's failure caused the harm); and there is no countervailing benefit
- C) DECEPTIVE — the servicer is misleading borrowers about payment receipt
- D) No UDAAP violation — payment processing issues are operational matters

[Ethics — Professional Conduct]

96. An MLO is under significant pressure from their manager to close a loan for a borrower who does not qualify. The manager says, 'Just make the numbers work.' The MLO should:

- A) Follow the manager's instructions — the manager is responsible
- B) Refuse to falsify or manipulate loan data to make unqualified borrowers appear to qualify — this is mortgage fraud; the MLO bears personal criminal liability regardless of managerial direction; document the instruction and consider reporting to compliance
- C) Make minor adjustments since it's the manager's call
- D) Ask a different underwriter to review the file

[Ethics — UDAAP Deceptive]

97. A lender advertises 'Guaranteed Loan Approval — All Credit Welcome!' but in practice denies 70% of applicants. Under UDAAP Deceptive:

- A) The ad is permissible as puffery — 'guaranteed approval' is obvious marketing language
- B) The advertisement is DECEPTIVE — 'guaranteed approval' is a specific representation that would mislead a reasonable consumer into believing approval is assured, which is material (the consumer contacts the lender based on the false promise); a 70% denial rate demonstrates the representation is false
- C) The ad is only problematic if the denied applicants have protected class characteristics
- D) The ad is permissible if followed by a disclaimer about credit requirements

[Ethics — Predatory Lending]

98. A borrower with a fixed income of \$1,800/month is persuaded by an MLO to take a \$150,000 home equity loan with a balloon payment due in 5 years. The payment is \$1,200/month, leaving only \$600 for all other expenses. When the balloon comes due, the borrower cannot refinance because property values have declined. This scenario illustrates:

- A) A reasonable product for a borrower with significant equity
- B) Predatory lending — the loan is fundamentally unsuitable for the borrower; the payment exceeds what the borrower can reasonably sustain; the balloon creates a refinancing trap; this also potentially violates ATR and UDAAP (UNFAIR and possibly ABUSIVE for exploiting the borrower's vulnerability)
- C) Standard mortgage practice
- D) A permissible high-cost mortgage if properly disclosed

[Ethics — BSA/AML]

99. An MLO notices that a borrower's bank statements show \$50,000 in cash deposits with no explanation over the past 3 months, followed by the borrower wanting to use those funds as the down payment. The MLO should:

- A) Accept the funds — large cash deposits are common
- B) Investigate the source of the funds; request documentation of the source (gift letter, business income, asset sale, etc.); if the source cannot be documented, the funds typically cannot be used for the down payment and a SAR may be warranted if money laundering is suspected
- C) Accept the funds if the seller also wants to close quickly
- D) Ask the borrower to deposit the cash in smaller amounts to avoid scrutiny

[Ethics — UDAAP Abusive]

100. Which of the following MOST ACCURATELY describes the 'reasonable reliance' prong of ABUSIVE?

- A) Any reliance on any advice from an MLO
- B) The consumer reasonably relies on the covered person to act in the consumer's interest — and the covered person exploits that reliance for the covered person's own benefit at the consumer's expense; this is particularly problematic when the consumer has no reason to distrust the professional
- C) Reliance on any written document
- D) Reliance on advertising statements

[Ethics — Fraud for Profit]

101. An MLO originates a loan knowing the borrower did not sign the credit application — the MLO signed the borrower's name without authorization to meet a deadline. This constitutes:

- A) A permissible practice to meet closing deadlines
- B) Forgery — a federal financial crime that triggers the SAFE Act's PERMANENT licensing bar if the MLO is convicted, and exposes the MLO to federal criminal prosecution for bank fraud, wire fraud, and forgery
- C) A minor policy violation with no legal consequences
- D) Only a licensing issue, not a criminal matter

[Ethics — Professional Conduct]

102. Under the CFPB's loan originator compensation rule, an MLO who receives compensation from the lender (lender-paid compensation) CANNOT:

- A) Originate FHA loans
- B) Also receive compensation from the borrower (discount points, origination fees) on the SAME transaction — dual compensation is prohibited
- C) Originate loans for first-time homebuyers
- D) Receive a salary from their employer

[Ethics — UDAAP Unfair]

103. The CFPB's examination of UDAAP Unfair practices focuses on the practice's impact on consumers OVERALL, meaning:

- A) Only large-scale violations with thousands of victims are UNFAIR
- B) Harm to even a small number of consumers can be UNFAIR if the injury is substantial to those individuals; conversely, widespread low-level harm can also be UNFAIR — it's the nature and unavoidability of harm, not just scale
- C) UDAAP only applies to practices that harm all consumers equally
- D) Only class-action-level harm qualifies as UNFAIR

[Ethics — Fraud for Housing]

104. A first-time homebuyer is coached by the seller's agent to overstate their income on the mortgage application so they can qualify for the home. The buyer is told 'everyone does this — it's just a little stretch.' The MLO's responsibility in this situation is:

- A) Submit the application as presented without questioning income figures
- B) Verify income independently through tax returns and pay stubs — if the documented income differs from stated income, the MLO must report the accurate income, refuse to submit the application with false information, and potentially report the fraud attempt
- C) Accept the agent's characterization that this is common practice
- D) Advise the buyer to get a lower-priced home they can qualify for with true income only if the buyer independently requests this advice

[Ethics — Professional Conduct]

105. An MLO who also holds a real estate agent license is working as the buyer's agent on a transaction and simultaneously originating the buyer's mortgage. What is the MINIMUM ethical obligation?

- A) This is not permissible under any circumstances
- B) Full written disclosure to the buyer of the dual role and the potential conflict of interest; the buyer must understand that the MLO earns compensation in both capacities and that this dual role could create conflicting interests; many lenders prohibit this practice
- C) Verbal disclosure of the dual role at closing
- D) No disclosure is required — dual licensing is a common industry practice

■ ■ SAFE Act ■ ■

[SAFE Act — Pre-License Education]

106. Which of the following individuals is NOT exempt from SAFE Act MLO licensing requirements?

- A) An employee of a federally insured credit union who originates residential mortgage loans
- B) A state employee originating subsidized housing loans through a government program
- C) An individual employed by a nonprofit organization providing below-market rate loans to low-income borrowers
- D) A self-employed independent contractor who takes residential mortgage loan applications for multiple lenders for compensation

[SAFE Act — Continuing Education]

107. The prohibition on satisfying CE by taking the same course in consecutive years applies to:

- A) All courses including state-specific courses
- B) NMLS-approved courses only; state-specific courses not approved by NMLS may have different rules
- C) Only federal law courses
- D) Only ethics courses

[SAFE Act — Licensing Requirements]

108. A licensed MLO is on medical leave for 4 months with no origination activity. Their license expires during the leave. They must:

- A) Automatically continue originating upon return — medical leave pauses the license
- B) Complete CE and renew the license before returning to origination activity; medical leave does not suspend the license renewal requirement or the prohibition on originating on a lapsed license
- C) Request a hardship extension from NMLS
- D) Apply for reinstatement with a doctor's note

[SAFE Act — NMLS Registration]

109. An MLO's NMLS record shows a regulatory action from 5 years ago that was resolved through a consent order and a \$5,000 fine. The MLO has been in good standing since. This information:

- A) Is automatically removed from NMLS after 5 years
- B) Remains permanently in the NMLS record and is visible in NMLS Consumer Access — consent orders and regulatory actions are part of the permanent public record
- C) Is sealed after the consent order is satisfied
- D) Is only visible to the MLO, not the public

[SAFE Act — Transitional License]

110. A registered MLO at a national bank is being investigated for mortgage fraud. They leave the bank and try to apply for a state MLO license and use the transitional license to originate while the application is pending. May they use the transitional license?

- A) Yes — the transitional license is available to all registered MLOs regardless of circumstances
- B) No — the transitional license is available only to registered MLOs in good standing with a valid, active registration; a registration under investigation may not qualify, and the state may deny the application based on pending investigation
- C) Yes — they have up to 120 days while the fraud investigation is pending
- D) Yes, but they must disclose the investigation on the application

[SAFE Act — License Bars]

111. Which of the following crimes, if resulting in a felony conviction, triggers the 7-YEAR bar (not the permanent bar) under the SAFE Act?

- A) Embezzlement from a bank
- B) Wire fraud in connection with a mortgage transaction
- C) Felony DUI resulting in death (assuming no financial crimes charged)
- D) Forgery of financial documents

[SAFE Act — State Law]

112. Under the SAFE Act, a state that has not enacted conforming legislation within the prescribed period:

- A) May continue to operate under old licensing laws indefinitely
- B) Would have the federal government (HUD initially, now transferred to CFPB) establish and administer minimum licensing requirements for MLOs in that state
- C) Loses all federal mortgage program participation
- D) Has all mortgage lending suspended until conforming legislation is passed

[SAFE Act — NMLS Registration]

113. When an MLO submits their NMLS license application, the background check includes:

- A) Drug testing and a financial stability review only
- B) FBI fingerprint-based criminal history record check AND credit report — both are required for the initial license; the credit report is reviewed for financial responsibility (patterns of financial irresponsibility, not just a minimum score)
- C) Only the credit report
- D) Only the FBI criminal check with no credit review

[SAFE Act — Licensing Requirements]

114. A part-time MLO originates 3 residential mortgage loans in a year, all in the same state where they are licensed. The SAFE Act's licensing requirements:

- A) Do not apply to MLOs who originate fewer than 5 loans per year
- B) Apply based on the TYPE of activity (taking applications, offering/negotiating terms) regardless of the NUMBER of loans originated — even 1 loan requires a license if compensation is involved
- C) Apply only when the MLO originates more than \$1 million in loans
- D) Apply only to full-time MLOs

[SAFE Act — Pre-License Education]

115. The 20-hour pre-licensing education requirement cannot be satisfied by:

- A) Taking an NMLS-approved course offered by a state mortgage association
- B) Taking the National SAFE MLO Test — the exam does not substitute for pre-licensing education
- C) Completing an online NMLS-approved course with a final examination
- D) Taking a live classroom course approved by NMLS

[SAFE Act — Continuing Education]

116. An MLO completes 6 hours of CE in October but cannot complete the remaining 2 hours before the December 31 renewal deadline. The MLO may:

- A) Renew the license with 6 hours and complete the remaining 2 hours by March 31
- B) Not renew the license until all 8 hours of CE are complete — partial CE does not satisfy the renewal requirement
- C) Request a waiver of the remaining 2 hours
- D) Complete the 2 hours in January and backdate the completion

[SAFE Act — Transitional License]

117. During the 120-day transitional license period, the MLO is subject to:

- A) No regulations — the transitional period is a regulatory holiday
- B) The laws and regulations of the state in which they are operating (the new state), including any applicable state supervision and oversight requirements
- C) Only federal SAFE Act requirements, not state requirements
- D) Only the requirements of their prior state of licensing

[SAFE Act — License Bars]

118. An MLO applicant received a deferred prosecution agreement (DPA) for bank fraud 3 years ago — charges were deferred for 2 years while the applicant complied with conditions, then dismissed. The SAFE Act permanent bar applies to:

- A) Only actual criminal convictions — a DPA with dismissal is not a conviction and does not trigger the bar
- B) Convictions, guilty pleas, and no-contest pleas — a DPA that was successfully completed and resulted in dismissal typically does NOT constitute a conviction; however, the applicant must disclose the DPA, and state licensing authorities have discretion to consider it
- C) All criminal charges regardless of disposition
- D) Only charges that resulted in prison time

[SAFE Act — Continuing Education]

119. Which NMLS-recognized activity would NOT count toward annual CE credit?

- A) Completing an 8-hour NMLS-approved CE course
- B) Teaching an NMLS-approved CE course (with NMLS approval for instructor credit)
- C) Reading mortgage industry news articles and publications at home
- D) Attending a 2-hour NMLS-approved CE session at a state mortgage conference

[SAFE Act — Licensing Requirements]

120. Which of the following situations would trigger a MANDATORY disclosure obligation to NMLS?

- A) An MLO receives a verbal warning from their supervisor
- B) An MLO is charged with (not convicted of) a financial crime felony — criminal charges must be reported to NMLS even before conviction
- C) An MLO changes their home address within the same state
- D) An MLO receives a positive performance review

EXAM Phase 3 — Exam 4 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	A	2	D	3	B	4	C	5	A
6	D	7	B	8	C	9	A	10	D
11	B	12	C	13	A	14	D	15	B
16	C	17	A	18	D	19	B	20	C
21	A	22	D	23	B	24	C	25	A
26	D	27	B	28	C	29	A	30	D
31	B	32	C	33	A	34	D	35	B
36	C	37	A	38	D	39	B	40	C
41	A	42	D	43	B	44	C	45	A
46	D	47	B	48	C	49	A	50	D
51	B	52	C	53	A	54	D	55	B
56	C	57	A	58	D	59	B	60	C
61	A	62	D	63	B	64	C	65	A
66	D	67	B	68	C	69	A	70	D
71	B	72	C	73	A	74	D	75	B
76	C	77	A	78	D	79	B	80	C
81	A	82	D	83	B	84	C	85	A
86	D	87	B	88	C	89	A	90	D
91	B	92	C	93	A	94	D	95	B
96	C	97	A	98	D	99	B	100	C
101	A	102	D	103	B	104	C	105	A
106	D	107	B	108	C	109	A	110	D
111	B	112	C	113	A	114	D	115	B
116	C	117	A	118	D	119	B	120	C

1. An application is received on Tuesday. The lender mails the Loan Estimate (not hand-delivered) on Thursday. Under TRID, when is the borrower presumed to have received the Loan Estimate?

✓ **A) Thursday (day of mailing)**

When the LE is MAILED, the borrower is presumed to have received it 3 BUSINESS DAYS after mailing. Thursday + 3 business days = Tuesday the following week? No — Thursday (mail day) → Friday (day 1) → Saturday (day 2 — Saturday counts for delivery presumption) → Monday (day 3 — Sunday doesn't count). So the presumed delivery is Monday. However, the lender can prove earlier delivery with evidence.

2. A borrower's income changes significantly AFTER the Loan Estimate has been issued but BEFORE closing. Under TRID, this change:

✓ **D) Requires a new credit check and a new LE automatically**

TRID changed circumstances that allow re-disclosure are specific: extraordinary events beyond anyone's control, information specific to the transaction that was not relied upon at LE issuance, or new information unknown at time of LE. A change in the borrower's income AFTER the LE does not fall in these categories — it doesn't allow the lender to increase origination fees through re-disclosure.

3. An MLO's company is affiliated with a title company (shares 35% ownership). The MLO refers a borrower to the title company and provides the required AfBA disclosure. The MLO then says, 'You really should use our title company — they are much faster.' Under RESPA, this additional statement:

✓ B) May constitute coercion — the AfBA disclosure requires freedom of choice; steering the borrower to the affiliated provider after disclosure could create additional RESPA liability and undermine the freedom-of-choice requirement

The AfBA requires three things: disclosure, estimate of charges, and FREEDOM TO USE OTHER PROVIDERS. Steering the borrower toward the affiliated provider ('you really should use our title company') after the required disclosure can undermine the freedom-of-choice requirement and potentially create Section 8 liability if the referral is coerced. The disclosure must be genuine, not a formality followed by a sales pitch.

4. A lender fails to include a \$300 credit report fee in the finance charge on the Loan Estimate. At closing, the total finance charge is \$300 higher than disclosed. Under TILA's tolerance rules for finance charge accuracy:

✓ C) The tolerance is \$500 for all mortgage loans

TILA requires accurate finance charge disclosure. For residential mortgage loans, the finance charge is considered accurate if it is not understated by more than \$100 or 0.5% of the loan amount for refinances, and various other tolerances apply. An understated finance charge of \$300 would likely exceed the tolerance and be a TILA violation requiring cure or potentially extending the rescission period.

5. Under Reg B, an application is considered 'withdrawn' when:

✓ A) The lender fails to act on an application within 30 days

Under Reg B, withdrawal occurs: (1) when the applicant expressly withdraws before a credit decision, or (2) when the applicant fails to respond to a notice of incompleteness within the specified time period. A denial is different from a withdrawal — denial is an adverse action on a completed application. Lender inaction is not a withdrawal — it triggers adverse action notice requirements.

6. A mortgage broker is paid a 'yield spread premium' (YSP) by the lender for placing a borrower in a loan with a higher interest rate than the borrower qualified for. Under current Reg Z rules (post-2014):

✓ D) YSPs are required to be disclosed on the Loan Estimate

Reg Z's LO compensation rule (effective 2014) prohibits compensation that varies based on loan TERMS (rate, APR, prepayment penalties). What was previously called a 'YSP' structure — where the MLO earns more for placing borrowers in higher-rate loans — is the prohibited conduct. Lender credits (negative points) that reduce borrower costs are permissible; tying MLO pay to the rate is not.

7. A borrower has an 'extended right of rescission' of 3 years because the lender failed to provide the required rescission notice. The borrower exercises this right on day 1,095. The lender challenges this. Under TILA:

✓ B) The rescission is untimely because the 3-year period is only 1,095 days and day 1,095 exceeds it — the period ended the day before

The extended rescission right under TILA runs for 3 years from the date of consummation when the lender fails to provide the required rescission notice or material disclosures. This is an OUTER LIMIT of 3 years. A rescission notice exercised within the 3-year period (including day 1,095 if within 3 years) would be timely.

8. A lender denies a credit application, claiming the denial is based on the applicant's income. The applicant is a 70-year-old retired professor receiving pension income. The pension is stable and more than sufficient. Under ECOA's age discrimination provisions:

✓ C) Age is a permissible factor for loans longer than 30 years

ECOA prohibits denying credit based on age (when the applicant is 40+ years old — the protected group under ECOA). Treating retirement pension income differently from employment income, resulting in denial of a creditworthy retiree, violates ECOA's age discrimination prohibition. Stable pension income must be treated like other verifiable income.

9. The Americans with Disabilities Act (ADA) and the Fair Housing Act's disability provisions require that residential properties:

✓ A) Be constructed with elevators in all buildings of any height

The FHA's disability provisions require: (1) reasonable ACCOMMODATIONS in rules/policies (e.g., allowing a service animal in a no-pets building); (2) allowing reasonable MODIFICATIONS to the physical space at the TENANT'S expense (in private housing) with restoration requirements. OWNERS must make accommodations; tenants typically pay for modifications in private rental housing.

10. A lender offers a loan with 3 points and fees equal to 4% of a \$280,000 loan amount. Does this trigger HOEPA?

✓ D) No — HOEPA's threshold is 8% of the loan amount

HOEPA's points-and-fees trigger for loans $\geq \$20,000$: the threshold is 5% of the total loan amount. 5% of \$280,000 = \$14,000. The actual points and fees of 4% = \$11,200, which is BELOW the \$14,000 threshold. Therefore, this loan does NOT trigger HOEPA on the points-and-fees test (though the APR test is separate). Answer B is correct.

11. A depository institution has \$12 billion in total assets and originates both commercial and residential mortgage loans. Under HMDA, the institution's reporting obligation covers:

✓ **B) Only residential mortgage loans (home purchase, home improvement, refinancings of residential properties) that meet the covered loan definition — commercial loans are excluded**

HMDA covers RESIDENTIAL mortgage loans only: home purchase loans, home improvement loans, and refinancings of 1-4 family or multifamily residential property. Commercial real estate loans, business purpose loans, and agricultural loans are excluded from HMDA reporting regardless of the institution's size or total loan volume.

12. Under TRID, the Loan Estimate expires if the borrower does not indicate intent to proceed within how many business days?

✓ **C) 10 business days — after 10 days the lender may revise the LE**

TRID does not set a specific LE expiration period. However, rate locks typically expire (per the lock agreement), and the lender may re-price after the lock expires. The lender cannot collect any fees (except credit report) before the borrower indicates intent to proceed. Lenders typically specify in the LE when the rate lock (if any) expires.

13. An adverse action notice for a mortgage denial must state the specific reasons for denial. Which of the following is an UNACCEPTABLE reason for an adverse action notice?

✓ **A) Insufficient income relative to obligations**

Adverse action notices must provide SPECIFIC reasons — not vague or conclusory statements. 'We don't like your creditworthiness' is not a specific reason — it's a vague conclusion. Specific reasons include: insufficient income, excessive DTI, credit score below minimum, derogatory credit history, insufficient collateral, etc. Generic reasons do not comply with ECOA.

14. Which of the following represents a 'disparate impact' fair lending concern rather than 'disparate treatment'?

✓ **D) A lender who requires additional documentation only from minority applicants**

DISPARATE IMPACT occurs when a facially neutral policy (equally applied to everyone) results in disproportionate adverse impact on a protected class without business necessity justification. A minimum loan amount that effectively excludes all lending in lower-value areas (which correlate with minority neighborhoods) is the classic disparate impact example. The other options are disparate TREATMENT (intentional discrimination).

15. A home improvement loan secured by the borrower's primary residence with an interest rate 7% above APOR is originated. The loan has no balloon payment and all fees are within normal range. Under HOEPA:

✓ **B) This IS a high-cost mortgage — the APR spread exceeds the 6.5% first-lien threshold for HOEPA, regardless of loan purpose**

HOEPA applies to closed-end consumer credit transactions secured by a consumer's primary dwelling, including home improvement loans secured by a lien. The APR threshold for first-lien transactions is 6.5% above APOR. A 7% spread exceeds this threshold, making the loan a high-cost mortgage subject to HOEPA restrictions and special disclosures.

16. Under the 2015 HMDA expansion, an institution that is EXEMPT from HMDA reporting because it falls below the volume threshold:

✓ **C) May submit a partial HMDA report covering only purchase transactions**

Institutions below the HMDA reporting thresholds are exempt from HMDA data collection and submission. They have NO HMDA reporting obligation. However, they may still face fair lending review through ECOA, the Fair Housing Act, and regulatory examination — HMDA is a tool for identifying patterns, not the exclusive fair lending requirement.

17. The 'right of rescission' under TILA applies to a second mortgage on a primary residence. The borrower asks whether they can waive this right. An MLO should know that:

✓ **A) The right can always be waived with sufficient written notice**

The TILA right of rescission cannot be waived as a standard loan condition. The only exception is a bona fide personal financial emergency (the borrower must provide a dated written statement identifying the emergency and waiving the waiting period). A lender who routinely requires rescission waivers as a loan condition violates TILA.

18. An internet lender provides an online platform where multiple settlement service providers (title, escrow, settlement) are pre-selected for the borrower when they use the lender's online application. The lender has financial relationships with all the pre-selected providers. Under RESPA, this arrangement:

✓ **D) Is permissible as long as the lender pays for the services**

Pre-selecting affiliated service providers on a platform (making them the 'default' choice) effectively refers business to those providers. RESPA requires genuine disclosure and freedom of choice in AfBA situations. Using platform design to default to affiliated providers — without clear disclosure and genuine freedom to use others — is a RESPA concern that the CFPB has scrutinized.

19. Under ECOA/Reg B, a creditor may ask for the applicant's sex/gender for government monitoring purposes. When may a creditor ask for this information?

✓ **B) Only for home purchase and home improvement loan applications (HMDA-reportable transactions)**

Under Reg B, creditors may collect demographic information (race, sex, national origin) for government monitoring purposes only on applications for home purchase loans, home improvement loans, and refinancings of residential properties (HMDA-covered transactions). Collecting this information on other consumer credit applications is prohibited.

20. The Fair Housing Act's 'protected class' of 'national origin' prohibits discrimination based on:

✓ **C) Income level associated with a certain country**

National origin discrimination under the FHA covers discrimination based on: country of ancestry (even if the person was born in the US), country of birth, accent, membership in national origin groups, and association with people of a particular national origin. HUD and courts have interpreted national origin broadly to protect against multiple forms of discrimination based on country of heritage.

21. A loan is reported as 'approved but not accepted' on the HMDA LAR. This means:

✓ **A) The borrower did not qualify**

'Approved but not accepted' is a specific HMDA action taken code meaning the lender made a credit decision (approved the loan) and communicated it to the applicant, but the applicant did not proceed. This is different from 'withdrawn' (applicant withdraws before a decision) or 'approved and originated' (loan closed).

22. Which of the following fees is in the 'NO INCREASE' (zero tolerance) category under TRID?

✓ **D) Per diem interest (prepaid interest)**

Zero tolerance items include: (1) lender's own charges; (2) required services where lender selects provider; (3) unaffiliated third-party services where the lender selects the provider and they are not on the Written List; (4) transfer taxes. A required third-party fee where the lender chose the provider is zero tolerance. Prepaid interest and HOA fees are typically in the 'no limit' category.

23. When must the Closing Disclosure be provided for a PURCHASE TRANSACTION as opposed to a REFINANCE?

✓ **B) For purchase transactions, all parties (buyers AND sellers) receive a CD — the seller's CD shows only the seller's side of the transaction; for refinances, only the borrower receives a CD because there is no seller**

In purchase transactions, the seller also receives a CD (typically showing only the seller's side of the transaction). For refinances, there is no seller, so only the borrower receives the CD. The settlement agent typically prepares the seller's CD. Both buyer and seller CDs must reflect the actual settlement charges.

24. An MLO is completing a loan application with a female applicant. The MLO asks: 'Are you pregnant or planning to have children?' Under ECOA/Reg B:

✓ **C) This question is only prohibited in states with stronger laws**

ECOA/Reg B prohibits inquiries about: marital status (in most contexts), familial status, pregnancy, birth control, or plans for children. These questions imply that the lender considers these factors in underwriting, which would be discriminatory. Asking all applicants equally does NOT cure the violation — the question itself is prohibited.

25. For HOEPA high-cost mortgages, the 'prepayment penalty' trigger applies when the prepayment penalty:

✓ **A) Is more than 1% of the loan amount**

HOEPA's prepayment penalty trigger: the loan triggers HOEPA if the prepayment penalty terms can exceed 2% of the amount prepaid, or if the penalty can apply after the 36-month period after loan closing, or if the loan permits imposition of a penalty following a default. This is separate from (and in addition to) the APR and points/fees triggers.

26. A bank has a HMDA LAR with 50 entries. Federal regulators conducting a HMDA examination find that 12 entries (24%) have significant errors. This would MOST LIKELY result in:

✓ **D) A 30-day cure period with no consequences**

Significant HMDA data errors — especially a high error rate (24%) — can result in: mandatory restatement of the LAR, civil money penalties (up to \$10,000 per day for knowing violations under HMDA), enhanced fair lending examination, and referral to DOJ if discrimination is suspected. A 24% error rate suggests systemic problems requiring serious corrective action.

27. A borrower indicates intent to proceed with a loan after receiving the LE. The lender collects an appraisal fee of \$600. The appraisal comes in at a value lower than needed for the loan, and the transaction cannot proceed. The borrower asks for refund of the appraisal fee. Under TRID:

✓ **B) The appraisal fee was for a legitimate service actually provided; the fee generally does NOT need to be refunded if the appraisal was performed — the TRID rules govern disclosure of fees, not require refund of fees for services rendered**

TRID requires accurate disclosure of fees but does not require refund of legitimately earned third-party fees (like a completed appraisal) simply because the transaction doesn't close. The appraisal was performed (service rendered); the fee compensates the appraiser. Some lenders may voluntarily refund fees as a goodwill gesture, but TRID does not mandate it.

28. Under ECOA, a lender who uses an algorithm or model for credit scoring must ensure that the model:

✓ **C) Only uses credit score factors approved by FICO**

ECOA's disparate impact standard applies to algorithmic/AI credit models. Even if the model uses facially neutral factors (geography, purchase patterns, browser type, device used), if the outputs produce discriminatory results against a protected class without business necessity justification, the model may violate ECOA. Regulators increasingly focus on algorithmic fairness in lending.

29. An FHA borrower with a 580 credit score and 3.5% down payment has the following: UFMIP = 1.75% of base loan amount. If the purchase price is \$200,000 and the base loan amount is \$193,000 ($\$200,000 \times 96.5\%$), the UFMIP financed into the loan is:

✓ **A) \$3,378**

UFMIP = $1.75\% \times \$193,000 = \$3,377.50$, rounded to \$3,378 (or approximately \$3,375-3,378 depending on rounding). The total financed loan amount = $\$193,000 + \$3,378 = \$196,378$. Note: The base loan amount used for UFMIP calculation is the loan amount before adding UFMIP.

30. Under FHA guidelines, for a 3-unit owner-occupied property, the maximum LTV for a purchase transaction with a credit score above 580 is:

✓ **D) 80%**

FHA maximum LTV for 3-4 unit owner-occupied properties: 96.5% (for credit scores 580+). This is the same LTV as for 1-2 unit properties. However, the maximum loan amounts differ, and FHA may require the borrower to have cash reserves (3 months PITI for 3-4 unit properties).

31. A VA-eligible veteran is purchasing a \$600,000 home. The county conforming loan limit is \$766,550. The veteran has full VA entitlement. The down payment required is:

✓ **B) \$0 only if the loan amount stays below the conforming loan limit**

Post-2020 (Blue Water Navy Act), veterans with FULL entitlement can purchase homes of any price with NO down payment. The conforming loan limit cap was eliminated for veterans with full entitlement. The veteran's entitlement covers 25% of the loan amount with no upper limit. A \$600,000 purchase with full entitlement = \$0 down.

32. A borrower with a 760 credit score and 10% down payment will have a PMI rate significantly different from a borrower with a 660 credit score and 10% down. Which borrower will have the LOWER PMI rate?

✓ **C) Both borrowers pay the same PMI — PMI rates are standardized**

PMI is risk-based: higher credit scores AND lower LTV = lower PMI rates. A 760 score borrower with 10% down (90% LTV) will pay significantly less PMI than a 660 score borrower at the same LTV. This is analogous to how auto insurance rates work — better risk profile = lower premium.

33. An ARM has a start rate of 3.0%, a 5/2/5 cap structure, and a fully indexed rate of 6.0%. After the first 5-year fixed period, what is the MAXIMUM rate at the first adjustment?

✓ **A) 6.0%**

A 5/2/5 ARM: initial cap = 5%, periodic cap = 2%, lifetime cap = 5%. Start rate = 3.0%. Maximum at FIRST adjustment = start rate + initial cap = $3.0\% + 5.0\% = 8.0\%$. The initial cap (first adjustment cap) is SEPARATE from the periodic cap. The fully indexed rate (6.0%) is the expected rate, but the cap structure allows going to 8.0% if rates rise significantly.

34. A loan that qualifies under the GSE Patch (CFPB rule allowing Fannie/Freddie loans to be QM even if DTI exceeds 43%) would NOT qualify if:

✓ **D) The property is a 2-unit investment property**

The GSE Patch (which expired/was phased out but is tested on SAFE) extended QM status to loans eligible for Fannie/Freddie purchase even if DTI >43%. The key: the loan must actually be ELIGIBLE for Fannie/Freddie purchase — loans that fail DU/LP underwriting standards don't benefit from the GSE Patch just because they're submitted to a GSE.

35. A property is listed at \$320,000. The buyer offers \$310,000 which is accepted. The appraisal comes in at \$300,000. The lender will base the loan amount on:

✓ **B) \$310,000 (contract price)**

Lenders base the loan amount on the LESSER of the appraised value or the purchase price. When the appraisal (\$300,000) is below the purchase price (\$310,000), the lender uses the \$300,000 appraised value. The buyer must either renegotiate the price, cover the gap with additional cash, or walk away (per the financing contingency).

36. Which of the following would most likely cause an FHA appraiser to REQUIRE REPAIR before the loan can close?

✓ **C) A roof with missing shingles causing active leaks into the attic**

FHA's MPRs require the property to be safe, sound, and sanitary. An actively leaking roof directly compromises the structure's soundness and the occupants' safety — it must be repaired before closing. Outdated cabinets, faded pool paint, and older (but functional) HVAC are cosmetic or operational issues that don't typically trigger MPR repair requirements.

37. FHA's 'anti-flipping rule' restricts FHA financing when a property has been resold within what time period after the seller acquired it?

✓ A) 30 days

FHA's anti-flipping rule: property resold within 90 days of the seller's acquisition is generally ineligible for FHA financing (to prevent property flipping fraud). Properties resold between 91-180 days may require a second appraisal in certain circumstances. Properties resold after 180 days have no FHA restriction.

38. The VA's minimum active duty service requirement for Gulf War era veterans (August 2, 1990 to present) is:

✓ D) 6 years National Guard or Reserve service only

VA eligibility for Gulf War era veterans (1990-present): requires 24 months of continuous active duty OR the full period for which called/ordered (at least 90 days continuous). The 24-month minimum is the standard, but shorter service still qualifies if it was the full period called for. This is more restrictive than Vietnam-era requirements.

39. A conventional loan with 80% LTV does NOT require PMI. However, a loan with 81% LTV does. The borrower asks if they can make a single extra payment to bring the balance to 80%. Under the Homeowners Protection Act:

✓ B) The HPA's cancellation provisions are based on the scheduled amortization reaching 80% or 78% — extra principal payments may accelerate this, but for early cancellation based on accelerated payments, the lender may require proof of LTV and good payment history

HPA allows BORROWER-REQUESTED cancellation when the LTV reaches 80% based on original value — whether through normal amortization or extra payments. For early cancellation due to extra payments, lenders may require: evidence that LTV is at or below 80% (appraisal at borrower's expense in some cases), and a good payment history (no 30+ day lates in prior 12 months).

40. Which of the following ARM loan structures is MOST likely to result in negative amortization?

✓ C) A 5/1 ARM with a 5/2/5 cap structure

Payment-option ARMs (popular pre-2010) offered multiple payment options: minimum payment (less than interest due), interest-only, or fully amortizing. Choosing the minimum payment caused NEGATIVE AMORTIZATION — the unpaid interest was added to the loan balance, which could grow to 110-125% of original balance. This is why payment-option ARMs are essentially eliminated from QM lending.

41. A borrower with a DTI of 52% applies for a conventional loan. Desktop Underwriter returns 'Refer with Caution.' This MOST LIKELY means:

✓ A) The borrower qualifies with a higher interest rate

'Refer with Caution' from DU indicates elevated risk that DU will not approve. Unlike a 'Refer' (which may be manually underwritten in some cases), 'Refer with Caution' suggests the risk level is too high for manual underwriting as well. This borrower would need a non-QM portfolio lender willing to hold the loan with more flexible underwriting standards.

42. Using the rule of 72, approximately how long does it take for home values to double if they appreciate at an average rate of 6% per year?

✓ D) 72 years

The Rule of 72: divide 72 by the annual growth rate to estimate doubling time. $72 \div 6\% = 12$ years. At 6% annual appreciation, home values approximately double every 12 years. The Rule of 72 is a quick mental math tool for compound growth.

43. An appraiser is asked by the lender to 'hit a value' of \$350,000 to make the deal work. The appraiser believes the property is worth \$310,000. The appraiser should:

✓ B) Provide the \$310,000 value and decline to alter the report based on the lender's request — appraisal independence is required by FIRREA, Fannie Mae, and ethical standards; altering a value to meet a deal's needs is appraisal fraud

Appraisal independence is a legal requirement (FIRREA, Dodd-Frank, Fannie/Freddie selling guidelines). An appraiser who alters a value based on lender pressure to 'hit a number' commits appraisal fraud. The appraiser must provide an independent, impartial opinion of value. Lenders are prohibited from pressuring appraisers to reach predetermined values.

44. A borrower wants to use an FHA loan to purchase a condominium. The condominium project must:

✓ C) Be newly constructed within the past 5 years

FHA condo loans require: (1) the project to be on FHA's approved list (searchable in FHAC), OR (2) qualify for single-unit (spot) approval under FHA's Single-Unit Approval (SUA) process reintroduced in 2019. SUA allows individual unit financing in non-FHA-approved projects meeting specific criteria (owner-occupancy ratios, insurance, etc.).

45. The VA funding fee for a first-time use of VA loan benefit with no down payment is currently:

✓ A) 1.25% of the loan amount

VA funding fees (which change periodically): for first-time use with 0% down, most veterans pay 2.15% (or approximately 2.3% depending on the most current fee schedule). Veterans with service-connected disability are EXEMPT. Subsequent use: typically 3.3%. With 5%+ down: lower fee. MLOs must know these ranges but the SAFE exam tests general knowledge, not exact current numbers.

46. Which of the following is NOT a type of Private Mortgage Insurance structure?

✓ **D) Lender-paid PMI (LPMI) built into the interest rate**

FHA Mortgage Insurance Premium (MIP) is a GOVERNMENT insurance program — it is NOT a form of Private Mortgage Insurance. PMI structures include: (1) monthly borrower-paid (BPMI); (2) single-premium (paid upfront at closing); (3) lender-paid (LPMI, built into rate); (4) split-premium (combination of upfront and monthly). FHA/VA/USDA have their own government-backed insurance programs.

47. A borrower has a 7/1 ARM that has reached the end of the fixed period. The index is 4.5%, the margin is 2.5%, and the annual adjustment cap is 2%. If the current rate is 5.0%, what is the rate at the NEXT adjustment?

✓ **B) 6.5% (the fully indexed rate: 4.5% + 2.0% margin... no, margin is 2.5%, so fully indexed = 7.0%)**

Fully indexed rate = Index (4.5%) + Margin (2.5%) = 7.0%. Current rate = 5.0%. Periodic cap = 2%. Rate can increase maximum 2% from current rate: 5.0% + 2.0% = 7.0%. Since the fully indexed rate (7.0%) equals the maximum under the periodic cap (7.0%), the new rate is 7.0%. The rate moves to the lesser of (A) fully indexed or (B) capped rate — both equal 7.0%.

48. Which of the following best describes the 'safe harbor' versus 'rebuttable presumption' QM distinction?

✓ **C) All QM loans receive the same legal protection**

QM legal protection: Non-higher-priced QMs → SAFE HARBOR (conclusive presumption, essentially immune from ATR lawsuits). Higher-priced QMs (APR exceeds APOR by 1.5% for first lien) → REBUTTABLE PRESUMPTION (presumed compliant, but borrower can rebut by showing lender disregarded clear evidence of inability to repay). Safe harbor provides stronger protection.

49. A borrower's purchase contract shows a \$5,000 seller credit for closing costs. How does an appraiser treat this seller credit?

✓ **A) It increases the appraised value by \$5,000**

Appraised value reflects market value — what a buyer would pay in an arm's-length transaction. Seller credits are financing concessions that may need to be adjusted in comparable sale analysis if the comparables also had financing concessions. However, appraised value is not simply purchase price minus seller credits. The LENDER reviews seller credits to ensure they don't exceed program limits.

50. An FHA 203(k) Limited (Streamline) is appropriate for renovation projects where total costs are:

✓ **D) Unlimited with HUD approval**

The FHA 203(k) Limited (formerly Streamline) allows renovation costs up to \$35,000 (current limit). It cannot be used for structural repairs. The FHA 203(k) Standard (full) is for larger projects with no maximum (subject to FHA loan limits) and allows structural repairs, requiring a HUD consultant for projects over a threshold.

51. VA 'special adaptation grants' (SAH and SHA) differ from VA home loans in that they:

✓ **B) Are grants provided to certain severely disabled veterans to build, adapt, or purchase adapted housing — they do not need to be repaid and are separate from the VA home loan benefit**

VA Special Adaptive Housing (SAH) and Special Home Adaptation (SHA) grants are different from VA home loans. They are grants (not repayable loans) for certain severely service-connected disabled veterans to build, purchase, or modify housing to accommodate their disabilities. They have separate dollar limits and eligibility requirements from the VA home loan guarantee.

52. A borrower is refinancing a \$225,000 mortgage. The closing costs total \$4,500. If the refinance saves \$150/month, the break-even point is:

✓ **C) 45 months**

Break-even = closing costs ÷ monthly savings = \$4,500 ÷ \$150 = 30 months. After 30 months, the cumulative savings from the lower payment exceed the closing cost outlay. If the borrower plans to stay in the home longer than 30 months, the refinance is financially beneficial. This is a common mortgage math calculation.

53. Which of the following describes a 'drive-by appraisal' (exterior-only inspection)?

✓ **A) An illegal appraisal method never used in mortgage lending**

An exterior-only (drive-by) appraisal involves observing the property from the exterior only, combined with public records and MLS data. Reported on Form 2055 (Fannie Mae), this type is used for lower-risk transactions (refinances with significant equity, low-LTV loans) where full interior inspection is not required. It carries more uncertainty than a full interior inspection.

54. For a self-employed borrower who is the sole owner of an S-Corporation, qualifying income is determined by:

✓ **D) Net income shown on the S-Corp tax return without adjustment**

S-Corp owner income = W-2 wages from the S-Corp + pro-rata share of S-Corp net income (from K-1). The S-Corp income analysis (using Form 1120S) adds back depreciation and other non-cash deductions, then applies the borrower's ownership percentage. This is averaged over 2 years. This is one of the most complex income calculations in mortgage underwriting.

55. A borrower makes bi-weekly mortgage payments (every two weeks instead of monthly). In a year, the borrower makes how many payments?

✓ **B) 26**

Bi-weekly payments = every 2 weeks. $52 \text{ weeks} \div 2 = 26$ payments per year. This contrasts with 12 monthly payments. The extra 2 payments per year (compared to 24 semi-monthly payments) effectively make one extra full monthly payment per year — significantly reducing the loan term and interest paid. A 30-year loan can pay off in approximately 22-23 years with bi-weekly payments.

56. An appraiser uses 4 comparable sales when appraising a subject property. One comparable, 2 blocks away, sold for \$350,000 but required \$15,000 in adjustments. Another, similar in every way, sold next door for \$330,000 with only \$5,000 in adjustments. The appraiser should generally give MORE weight to:

✓ **C) The average of all comparables**

Appraisers give more weight to comparables that require fewer adjustments (because each adjustment introduces uncertainty). A comparable that is very similar to the subject with minimal adjustments provides a more reliable value indication than one requiring large adjustments. The \$330,000 comp requiring only \$5,000 in adjustments is more reliable than the \$350,000 comp requiring \$15,000 in adjustments.

57. Under HMDA Reg C, a financial institution must report the Action Taken date. For a loan that is originated, the Action Taken date is:

✓ **A) The date the application was received**

HMDA Action Taken date: for originated loans — the date of origination (closing/funding date). For denied applications — the date of denial. For withdrawn applications — the date of withdrawal. For approved but not accepted — the date of approval. The action taken date corresponds to the specific credit decision or action.

58. A borrower earns \$100,000/year base salary plus 25% annual bonus (historically received for 3 years). They pay \$1,500/month child support and have a \$400/month car payment. The proposed PITI is \$2,500. DTI using base salary only (no bonus):

✓ **D) 58%**

Monthly base income = $\$100,000 \div 12 = \$8,333$. Total monthly obligations = $\$2,500 \text{ PITI} + \$1,500 \text{ child support} + \$400 \text{ car} = \$4,400$. $\text{DTI} = \$4,400 \div \$8,333 = 52.8\%$. With bonus income included: monthly bonus = $\$25,000 \div 12 = \$2,083$; total income = $\$10,416$; $\text{DTI} = \$4,400 \div \$10,416 = 42.2\%$ (qualifying DTI with bonus). Base-only DTI = 52.8%.

59. A borrower's FICO score is 699. Their lender requires a minimum 700 for the requested product. The MLO discovers the score is 699 partly because of an error — a collection that was paid 2 years ago but still shows as open. The BEST course of action is:

✓ **B) Investigate the error; if documentable (paid receipt, creditor letter), submit for rapid rescoring to correct the error and potentially achieve the 700+ score**

An error on a credit report — a paid collection still showing open — can legitimately be corrected through rapid rescoring if documented. The MLO should help the borrower identify errors, collect documentation (paid receipt, creditor letter acknowledging the paid status), and submit for rapid rescoring. If the error is corrected and the score reaches 700, the original product becomes available.

60. A borrower signs the Loan Estimate on a Tuesday. The lender has set an interest rate lock expiration of 10 business days from the LE date. If the borrower doesn't indicate intent to proceed until Thursday of the following week, the rate lock may:

✓ **C) Automatically renew for another 10 days**

Rate lock expiration is governed by the lender's lock policy, not by federal law (TRID governs disclosure, not lock terms). If the borrower delays indicating intent to proceed, the rate lock (and the rate on the LE) may expire. The MLO must communicate clearly about rate lock expiration and the potential need to re-lock at current market rates.

61. A borrower asks about a 'stated asset' loan where they claim to have \$200,000 in savings without providing bank statements. Under current regulations:

✓ **A) Stated asset loans are fully permissible for non-QM products**

ATR requires 'reasonable and good faith determination' based on 'verified and documented' information for QM. For non-QM, lenders have more flexibility but must still make a good-faith ATR assessment. Bank statement loans (verifying assets and income through statements) differ from 'stated asset' loans (no verification). Completely unverified claims create significant ATR risk even for non-QM lenders.

62. A borrower's gross monthly income is \$10,000. Their total monthly debt payments including the new housing payment will be \$3,800. What is the back-end DTI, and is this within Fannie Mae's standard maximum?

✓ **D) 38% DTI — Fannie Mae has no DTI limit**

$\text{DTI} = \$3,800 \div \$10,000 = 38\%$. Fannie Mae's standard maximum DTI is 45% (or up to 50% with DU approval and compensating factors). 38% is well within the 45% standard limit. Answer B correctly states both the DTI (38%) and the applicable Fannie Mae limit (45%).

63. A borrower has two late payments: 30-day late on a credit card 18 months ago and a 60-day late on an auto loan 30 months ago. Under FHA guidelines, is this borrower eligible?

✓ **B) FHA's minimum requirements look at overall credit history context; most recent 12-24 months are most important; isolated lates with otherwise good credit may be acceptable; the underwriter evaluates the totality of the credit profile**

FHA has no absolute prohibition on all late payments. FHA guidelines consider the totality of the credit profile, with more weight given to recent history. Isolated lates with good explanations and an otherwise clean record may be acceptable. The underwriter evaluates the pattern, frequency, and recency of lates. This is why FHA is considered more flexible than conventional for borrowers with imperfect credit.

64. A borrower wants to know if they can negotiate who pays for the owner's title insurance. Under TRID, the owner's title insurance is:

✓ **C) Required to be paid by the lender**

Owner's title insurance protects the BUYER from pre-existing title defects. Who pays varies by local custom (in some markets, seller pays; in others, buyer pays; negotiable in the contract). TRID requires it to be disclosed on the LE as an optional service. The lender's title insurance (required) is always paid by the borrower. Owner's title insurance payment is negotiable.

65. In a purchase transaction, the buyer's earnest money deposit is typically:

✓ **A) Returned to the buyer at closing in all cases**

Earnest money (good faith deposit) is typically held in escrow by the real estate agent or title company and applied toward the buyer's down payment and closing costs at closing. The buyer's total cash needed at closing = down payment + closing costs - earnest money already paid. If the deal falls through (per contingency terms), it may be refunded or retained by the seller.

66. For a borrower with a deferred student loan (loan in deferment with no current payment), Fannie Mae requires the MLO to include in DTI:

✓ **D) The actual payment that will be due when deferment ends**

Fannie Mae's student loan DTI requirement: use the greater of (1) 1% of the outstanding balance, or (2) the actual monthly payment reported on the credit report (if greater than 0). Fannie Mae updated to allow use of the actual IDR payment if greater than zero, but for deferred loans (actual payment = \$0), use 1% of the outstanding balance.

67. Under the Fair Credit Reporting Act, when a lender takes adverse action based partly on information in a credit report, the lender must:

✓ **B) Inform the applicant of their right to obtain a free copy of the credit report from the CRA within 60 days and their right to dispute inaccurate information — the notice typically names the CRA used**

FCRA adverse action requirements: the lender must notify the applicant of: (1) the adverse action, (2) the name, address, and phone of the CRA whose report was used, (3) that the CRA did NOT make the adverse decision, (4) the right to obtain a free copy of the credit report from the CRA within 60 days, and (5) the right to dispute inaccurate/incomplete information.

68. A lender receives an application for a \$25,000 home improvement loan secured by a second lien on the borrower's primary residence. Is this a HMDA-reportable transaction?

✓ **C) No — HMDA only covers loans over \$100,000**

HMDA covers home improvement loans secured by a dwelling regardless of amount (subject to the institution meeting HMDA coverage thresholds). A \$25,000 second-lien home improvement loan on a primary residence is a covered HMDA transaction. HMDA does NOT have a minimum dollar threshold for individual loans — the thresholds apply to institution size and volume.

69. The 'Integrated Mortgage Disclosures' (TRID) replaced which prior forms?

✓ **A) The HUD-1 and the Good Faith Estimate only**

TRID (effective October 2015) replaced four prior forms: (1) GFE → Loan Estimate; (2) initial TIL → Loan Estimate; (3) HUD-1 → Closing Disclosure; (4) final TIL → Closing Disclosure. The integration streamlined mortgage disclosures from four forms to two, making comparison easier for consumers.

70. An MLO is working with a borrower who has a low income but wants to purchase a home in a rural area. Which program would MOST appropriately be discussed?

✓ **D) Jumbo portfolio loan with 10% down**

USDA Rural Development Section 502 Guaranteed Loans offer: 100% financing (no down payment), below-market interest rates (for qualified borrowers), and geographic restrictions (eligible rural/suburban areas). Income limits apply (moderate income definition). There is an upfront guarantee fee (1%) and annual fee (0.35%), both lower than FHA MIP for many borrowers.

71. A title search reveals an old mechanics lien on the property from 15 years ago that was never released. The closing agent should:

✓ **B) Resolve the lien before closing — old liens that were not released cloud title and must be cleared (through payoff, release document, or title insurance exception) before the lender can provide clean title insurance**

An unreleased mechanics lien clouds title — it is a potential claim against the property. Most lenders require clear title (no outstanding liens except the new mortgage) for the title insurance company to issue a policy without exception. The lien must be resolved before closing: either paid off with a release obtained, or addressed with a title insurance endorsement.

72. A borrower has a 'disputed account' on their credit report — an account they contest as not belonging to them. Under Fannie Mae guidelines, disputed accounts:

✓ **C) Have no impact on the mortgage approval process**

Disputed accounts are a critical underwriting issue. If a derogatory account is disputed, DU may approve the loan — but if the dispute is resolved (removed from disputed status), the account becomes active and could tank the DTI or credit score. Fannie Mae guidelines may require that disputed accounts be resolved or excluded from the credit analysis with documentation.

73. A borrower has rental income from 4 different investment properties (all with mortgages). How is the net rental income calculated?

✓ **A) Gross rents minus all mortgage payments on all properties**

Rental income qualification uses Schedule E (from tax returns) to determine net rental income: gross rent minus allowable expenses (mortgage interest, taxes, insurance, maintenance) + add back depreciation. Each property's net income is calculated separately. Positive net income adds to qualifying; negative net income (loss) is counted as a monthly obligation in DTI. Averaged over 2 years.

74. An MLO receives an application from a borrower who discloses they have a pending lawsuit against them for \$500,000. How should this be handled?

✓ **D) Deny the application automatically**

Pending lawsuits that could result in a significant judgment are material facts that must be disclosed. While not yet a judgment (and thus not a current liability), a \$500,000 pending suit is a material contingent liability. Underwriters must consider the potential outcome. The MLO should document the disclosure and the underwriter should evaluate its potential impact on the loan.

75. A borrower asks about an 'assumable mortgage.' Which of the following loan types is most commonly assumable with lender approval?

✓ **B) FHA and VA loans — these government-backed loans are generally assumable with lender approval and qualification of the new borrower**

FHA and VA loans are assumable — a new borrower can take over the existing loan (with lender approval and credit qualification) while keeping the original interest rate. This was extremely valuable during rising rate environments. Conventional loans typically have 'due on sale' clauses that prevent assumption without paying off the loan.

76. If a borrower claims they did not receive the Closing Disclosure 3 business days before closing, the most appropriate resolution is:

✓ **C) Close anyway and send a corrected CD afterward**

The 3-business-day CD waiting period is a TRID consumer protection requirement — it cannot be waived by the borrower (except in the narrow personal financial emergency exception). If the borrower did not receive the CD 3 business days before closing, the closing must be postponed. Closing without meeting the waiting period is a TRID violation.

77. A 'conditional loan approval' (or 'approval subject to conditions') means the underwriter:

✓ **A) Has denied the loan subject to appeal**

A conditional approval means the loan is approved with conditions that must be satisfied before the loan can close and fund. The processor works to clear conditions (gathering documents, explanations, payoffs). Once all conditions are cleared and the underwriter issues a 'clear to close' (CTC), the loan is ready for closing.

78. Part-time income from a second job held for 18 months may be used for qualifying if:

✓ **D) Part-time income can never be used for qualifying**

Part-time income from a second job requires documentation of: (1) history of receipt — typically 12-24 months (varies by investor; Fannie Mae requires 12 months of second-job history for most products); (2) reasonable expectation of continuance. Tax returns, W-2s, and pay stubs documenting consistent receipt are required. Less than 12 months of history is generally insufficient.

79. A borrower wants to pay off collections to improve their credit score. The MLO's advice should be:

✓ **B) Be cautious — paying off older collections can sometimes temporarily decrease the FICO score by 'reactivating' old negative items; consult with a credit professional before paying collections to understand the potential score impact**

Paying off old collection accounts can sometimes have an unexpected negative effect on FICO scores because it updates the 'last activity' date on the account, potentially making it more recent in the scoring model's view. The impact varies by FICO version and the account's age. MLOs should advise borrowers to seek guidance before paying off old collections, especially close to loan closing.

80. The recording of a deed and mortgage/deed of trust makes the transaction effective against:

✓ **C) The title company only**

Recording creates 'constructive notice' — the legal principle that anyone who could have searched the public record is deemed to know what is recorded. Recording protects the lender's lien against subsequent creditors, buyers, and other claimants. A mortgage that is not recorded may be subordinate to later-recorded liens or unenforceable against third parties.

81. A 'non-warrantable condominium' is one that:

✓ **A) Was built before 1980**

A non-warrantable condo fails GSE guidelines and cannot be sold to Fannie or Freddie. Common reasons: investor ownership >35% (too many rentals), owner-occupancy <50%, pending litigation, single entity owning >10% of units, or incomplete construction. These loans must be held in portfolio (portfolio lenders) and typically carry higher rates.

82. For a borrower who recently started a new job (30 days ago) after being unemployed for 6 months, the MLO should:

✓ **D) Average the 6 months of unemployment income with the new salary**

A recent job change after unemployment raises underwriting concerns. The MLO needs to document: new employment offer letter, pay stubs if available, and explanation of the gap. For conventional loans, a 30-day old job with an offer letter may be used, but the underwriter may require evidence of actual employment start. The employment gap must be explained. FHA and VA may have slightly different approaches.

83. When a borrower has a Social Security number (SSN) on file but a mismatch occurs between the SSN and the borrower's name, the MLO should:

✓ **B) Investigate the discrepancy — SSN mismatches can indicate identity theft, an application error, or potentially fraud; the MLO must verify the borrower's identity with additional documentation before proceeding**

SSN mismatches are a red flag for potential identity theft or mortgage fraud. The MLO must verify the borrower's identity — through government-issued photo ID (driver's license, passport), Social Security card, and potentially additional documentation. A mismatch should be investigated and resolved before proceeding. If fraud is suspected, a SAR may need to be filed.

84. Which of the following changes from LE to CD would NOT require a new 3-business-day waiting period before closing?

✓ **C) A prepayment penalty is added to the loan terms**

The three events that trigger a new 3-day CD waiting period: (1) APR increases >0.125% (1/8%); (2) loan product change; (3) prepayment penalty added. A change in the seller's real estate agent has NO impact on the buyer's CD or the waiting period — it is a seller-side change unrelated to the loan terms. Answer D correctly identifies the non-triggering change.

85. A borrower is purchasing a \$1.5 million luxury home and has 25% to put down. The loan would be \$1.125 million — well above the conforming loan limit. The best product type is:

✓ **A) FHA loan — FHA has no maximum loan amount**

Loans exceeding conforming loan limits are JUMBO loans (non-conforming). Jumbo loans are not sold to Fannie or Freddie and must be held in portfolio or sold to private investors. FHA has loan limits well below \$1.125M in most areas. VA post-2020 has no loan limit for full entitlement veterans, but conventional jumbo is the appropriate category for this non-veteran buyer.

86. The 'right of first refusal' in a condominium development's HOA documents can affect the ability to obtain financing because:

✓ **D) It increases HOA dues without approval**

ROFR provisions giving the HOA the right to match purchase offers and acquire units impair marketability — the lender's collateral must be freely saleable. Fannie Mae and Freddie Mac restrict financing in condo projects with HOA ROFRs that are not structured to protect individual owner interests. The ROFR must be reviewed for GSE or FHA/VA eligibility.

87. An MLO charges different 'administrative fees' to borrowers based on their neighborhood of residence (which correlates with race). Fees in predominantly minority neighborhoods are \$300 higher. Under UDAAP Unfair, the regulator must show:

✓ **B) The practice causes substantial injury (\$300 per borrower across thousands of loans = significant aggregate harm); the injury is not reasonably avoidable (fee is set by the lender); and is not outweighed by countervailing benefits**

UNFAIR analysis: (1) substantial injury — \$300 extra per borrower across many loans is substantial in aggregate (CFPB considers aggregate harm, not just per-borrower amounts); (2) not reasonably avoidable — borrowers cannot negotiate the lender's fee schedule; (3) no countervailing benefit — charging higher fees in minority neighborhoods provides no legitimate benefit. Intent is NOT required for UNFAIR.

88. An MLO markets a mortgage product as 'specifically approved by HUD for senior citizens.' The product is not specifically approved or endorsed by HUD — it is simply an FHA-insured loan available to qualified borrowers of any age. This claim is **MOST LIKELY**:

✓ **C) Permissible if a disclaimer is included elsewhere**

Falsely claiming government endorsement or special approval (implying HUD specifically approved the product for seniors) is DECEPTIVE: (1) the statement is misleading (false — no such specific HUD endorsement exists); (2) a reasonable senior would rely on it in choosing a mortgage product; (3) it is material (government endorsement is a significant credibility factor). FHA-insured loans are FHA insurance, not HUD endorsement of a specific lender or product.

89. Under UDAAP's abusive standard, 'taking unreasonable advantage of a consumer's inability to protect their own interests' **MOST CLOSELY** resembles conduct involving:

✓ **A) Charging any fee that is above market rate**

The 'inability to protect own interests' prong of ABUSIVE targets exploitation of consumers who literally cannot protect themselves — cognitive impairments, extreme vulnerability, inability to understand what is happening to them. Targeting stroke victims in a rehab facility who lack capacity to understand loan terms is the textbook example of ABUSIVE exploitation of vulnerability.

90. A mortgage company employee creates fake appraisals for properties that are actually worth 50% less than the stated value. Real loans are taken out by real borrowers who believe the value is accurate. When borrowers default and lenders foreclose, the lenders lose money on the value gap. This is **BEST** described as:

✓ **D) Gift fund fraud**

Appraisal fraud involves creating false appraisal reports that overstate property values to enable larger loans. Unlike an air loan (entirely fictitious), appraisal fraud uses real borrowers and real properties with falsified values. The fraudster (appraiser, sometimes in collusion with MLO or broker) enables loans exceeding actual collateral value, resulting in lender losses upon default.

91. An MLO's lender offers a 'consumer choice' compensation program where borrowers can choose between: (a) higher rate/lender pays all MLO comp; or (b) lower rate/borrower pays discount points for MLO comp. Under Reg Z:

✓ **B) This structure is permissible if administered correctly — compensation can vary based on the method of payment (lender-paid vs. borrower-paid) but the MLO cannot be paid by both the lender and borrower on the same transaction, and the total compensation cannot vary based on loan terms**

Reg Z's LO compensation rule: MLOs may be paid by either the lender OR the borrower on a single transaction (not both). The dual compensation prohibition is absolute. Offering a choice between lender-paid and borrower-paid compensation is permissible structurally, but the MLO cannot receive payment from both sources on the same loan. The total comp cannot vary based on loan terms (rate, APR, etc.).

92. A borrower who currently rents is purchasing a home. Their real estate agent advises them to put 'primary residence' on the application even though the borrower intends to use the home as a rental property while continuing to rent their apartment. The MLO assists in completing the application. Who bears legal responsibility?

✓ **C) Only the borrower — they signed the application**

All knowing participants in mortgage fraud bear potential criminal liability. The borrower misrepresents occupancy. The real estate agent who advised the fraud is potentially a co-conspirator. The MLO who completes the application knowing the occupancy is false participates in the fraud — knowingly submitting a false mortgage application is a federal crime (bank fraud, wire fraud). 'I was just following instructions' is not a defense.

93. An MLO consistently places qualified minority borrowers in subprime loans while placing similarly qualified white borrowers in prime loans. This practice is called 'reverse redlining' or loan 'steering.' It violates:

✓ **A) Only RESPA Section 8**

Steering qualified minority borrowers to subprime/higher-cost products based on race violates: ECOA (discriminatory pricing/terms), Fair Housing Act (discriminatory terms in mortgage transactions), and UDAAP (likely UNFAIR — causing substantial, unavoidable harm without countervailing benefits; possibly ABUSIVE if exploiting borrowers who reasonably rely on the MLO). This is among the most serious fair lending violations.

94. The Bank Secrecy Act requires financial institutions to file Currency Transaction Reports (CTRs) for:

✓ D) Only cash transactions where the customer is known to be a drug dealer

CTRs are required for cash transactions EXCEEDING \$10,000 in a single business day. 'Cash' includes coin, paper currency, cashier's checks, and some other instruments when used in lieu of currency in certain circumstances. CTRs are filed with FinCEN. The requirement is automatic — no suspicion of illegal activity is needed.

95. A servicer repeatedly fails to apply borrowers' payments to their accounts within the standard timeframe, causing late fees to accrue and negative credit reporting even though borrowers paid on time. The CFPB would analyze this under which UDAAP standard FIRST?

✓ B) UNFAIR — the practice causes substantial injury (late fees, negative credit impact); the injury is not reasonably avoidable (borrowers submitted timely payments but the servicer's failure caused the harm); and there is no countervailing benefit

Payment processing failures that result in late fees and negative credit reporting for on-time borrowers is UNFAIR: (1) substantial injury — late fees and credit damage are significant; (2) not reasonably avoidable — the borrower did everything right (paid on time) but was harmed by the servicer's failure; (3) no countervailing benefit. The CFPB has taken major enforcement actions against servicers for exactly this type of conduct.

96. An MLO is under significant pressure from their manager to close a loan for a borrower who does not qualify. The manager says, 'Just make the numbers work.' The MLO should:

✓ C) Make minor adjustments since it's the manager's call

An MLO who knowingly falsifies loan data bears personal criminal liability — managerial direction is not a defense to mortgage fraud. 'Following orders' is not a defense in federal criminal law. The MLO should refuse, document the instruction, and consider reporting to the company's compliance department or regulators (whistleblower protections may apply). Professional integrity is non-negotiable.

97. A lender advertises 'Guaranteed Loan Approval — All Credit Welcome!' but in practice denies 70% of applicants. Under UDAAP Deceptive:

✓ A) The ad is permissible as puffery — 'guaranteed approval' is obvious marketing language

'Guaranteed approval' is not puffery — it is a specific, factual representation that approval will be granted. With a 70% denial rate, the representation is false and misleads reasonable consumers into investing time and potentially paying application fees based on a false promise. Disclaimer language that undermines 'guaranteed' does not resolve the deception — the overall impression controls under UDAAP.

98. A borrower with a fixed income of \$1,800/month is persuaded by an MLO to take a \$150,000 home equity loan with a balloon payment due in 5 years. The payment is \$1,200/month, leaving only \$600 for all other expenses. When the balloon comes due, the borrower cannot refinance because property values have declined. This scenario illustrates:

✓ D) A permissible high-cost mortgage if properly disclosed

This is textbook predatory lending: (1) unsuitable product (payment = 67% of gross income); (2) balloon payment creates a refinancing trap (reliant on future refinancing that may not be possible); (3) ATR violation (no genuine ability to repay at \$1,200/\$1,800 = 67% housing ratio); (4) UNFAIR (substantial, unavoidable harm); (5) possible ABUSIVE (exploiting the borrower's vulnerability and trust).

99. An MLO notices that a borrower's bank statements show \$50,000 in cash deposits with no explanation over the past 3 months, followed by the borrower wanting to use those funds as the down payment. The MLO should:

✓ B) Investigate the source of the funds; request documentation of the source (gift letter, business income, asset sale, etc.); if the source cannot be documented, the funds typically cannot be used for the down payment and a SAR may be warranted if money laundering is suspected

Unexplained large cash deposits are a red flag for money laundering or undisclosed liabilities. Most agency guidelines require all funds used in the transaction to have a documented source (seasoned funds, gift letters, asset sale documentation). Unexplained cash cannot be used for a down payment. If money laundering is suspected, a SAR must be filed. Suggesting smaller deposits (structuring) would itself be a federal crime.

100. Which of the following MOST ACCURATELY describes the 'reasonable reliance' prong of ABUSIVE?

✓ C) Reliance on any written document

The 'reasonable reliance' prong of ABUSIVE: a consumer trusts an MLO (or other financial professional) to act as their advisor and in their interest. When the covered person exploits that trust for their own gain (higher commissions, referral fees, product steering), they take 'unreasonable advantage' of the consumer's 'reasonable reliance.' This is the basis for fiduciary-like duties in UDAAP analysis.

101. An MLO originates a loan knowing the borrower did not sign the credit application — the MLO signed the borrower's name without authorization to meet a deadline. This constitutes:

✓ **A) A permissible practice to meet closing deadlines**

Signing a borrower's name without authorization is forgery — a felony involving fraud, dishonesty, and breach of trust. Under the SAFE Act, a conviction for forgery triggers the PERMANENT licensing bar. Federally, it constitutes bank fraud and wire fraud (both serious federal felonies). There is no 'no harm, no foul' exception — forging loan documents is a serious federal crime regardless of the borrower's eventual willingness to sign.

102. Under the CFPB's loan originator compensation rule, an MLO who receives compensation from the lender (lender-paid compensation) CANNOT:

✓ **D) Receive a salary from their employer**

Dual compensation prohibition under Reg Z: if the lender pays the MLO's compensation, the MLO cannot also receive compensation from the borrower (points, fees) on the same transaction. Conversely, if the borrower pays, the lender cannot also compensate the MLO on that transaction. A base salary from an employer is not 'transaction compensation' and is permissible even with lender-paid comp.

103. The CFPB's examination of UDAAP Unfair practices focuses on the practice's impact on consumers OVERALL, meaning:

✓ **B) Harm to even a small number of consumers can be UNFAIR if the injury is substantial to those individuals; conversely, widespread low-level harm can also be UNFAIR — it's the nature and unavoidability of harm, not just scale**

UDAAP Unfair does not require harm to a minimum number of consumers. Substantial harm to even a few consumers (if not reasonably avoidable and not offset by benefits) can be UNFAIR. Widespread, low-level harm that is unavoidable to many consumers can also be UNFAIR. The analysis is qualitative (nature of the harm and its avoidability) as well as quantitative (aggregate harm).

104. A first-time homebuyer is coached by the seller's agent to overstate their income on the mortgage application so they can qualify for the home. The buyer is told 'everyone does this — it's just a little stretch.' The MLO's responsibility in this situation is:

✓ **C) Accept the agent's characterization that this is common practice**

The MLO's duty is to verify income and submit accurate information. Knowing income misrepresentation is fraud that the MLO must not facilitate. The MLO must use actual documented income, not stated income the borrower can't support with documentation. If the buyer's documented income doesn't qualify, the honest answer is to look at lower-priced options or improve qualifications — not to falsify information.

105. An MLO who also holds a real estate agent license is working as the buyer's agent on a transaction and simultaneously originating the buyer's mortgage. What is the MINIMUM ethical obligation?

✓ **A) This is not permissible under any circumstances**

The MINIMUM requirement is full disclosure — the buyer must know the MLO is earning real estate commissions AND mortgage origination compensation from the same transaction, creating potential conflicts. However, disclosure alone may not be sufficient — many lenders prohibit their MLOs from acting as real estate agents on the same transaction due to the inherent conflicts. Regulators and state laws may impose additional requirements.

106. Which of the following individuals is NOT exempt from SAFE Act MLO licensing requirements?

✓ **D) A self-employed independent contractor who takes residential mortgage loan applications for multiple lenders for compensation**

Employees of federally chartered/insured banks/credit unions (registered MLOs), government employees, and nonprofit housing organization employees under specific programs have SAFE Act exemptions. A self-employed independent contractor taking applications for multiple lenders for compensation has NO exemption — they must be licensed. The independent contractor element is key: they work for compensation, take applications, and are not under the umbrella of an exempt institution.

107. The prohibition on satisfying CE by taking the same course in consecutive years applies to:

✓ **B) NMLS-approved courses only; state-specific courses not approved by NMLS may have different rules**

The consecutive-year prohibition applies to NMLS-approved CE courses. An MLO cannot satisfy annual CE by repeating the same NMLS-approved course they completed the prior year. State-specific courses that are separately approved by state regulators (not NMLS) may have different rules, though most states align with or exceed the NMLS standards.

108. A licensed MLO is on medical leave for 4 months with no origination activity. Their license expires during the leave. They must:

✓ **C) Request a hardship extension from NMLS**

Medical leave does not pause licensing requirements. The license expires on its scheduled renewal date regardless of whether the MLO is on leave. The prohibition on originating on a lapsed license applies absolutely. Upon return, the MLO must: complete required CE (if not yet done), pay renewal fees, reapply if needed, and receive a renewed (active) license before originating any loans.

109. An MLO's NMLS record shows a regulatory action from 5 years ago that was resolved through a consent order and a \$5,000 fine. The MLO has been in good standing since. This information:

✓ **A) Is automatically removed from NMLS after 5 years**

Regulatory actions (consent orders, formal orders, license suspensions, revocations) remain permanently in the NMLS record and are visible in NMLS Consumer Access to the public. There is no automatic removal or sealing of regulatory history — it is intended to be a permanent, transparent public record of the MLO's regulatory history. Consumers and employers can see this history when searching NMLS.

110. A registered MLO at a national bank is being investigated for mortgage fraud. They leave the bank and try to apply for a state MLO license and use the transitional license to originate while the application is pending. May they use the transitional license?

✓ **D) Yes, but they must disclose the investigation on the application**

The transitional license requires the registered MLO to have a valid, active registration IN GOOD STANDING. An MLO under investigation for mortgage fraud may not be in 'good standing,' and the state licensing authority has the discretion to deny the application. The investigation (and any resulting disciplinary action or criminal charge) must be disclosed on the state licensing application. A permanent bar would apply upon any conviction of financial crimes.

111. Which of the following crimes, if resulting in a felony conviction, triggers the 7-YEAR bar (not the permanent bar) under the SAFE Act?

✓ **B) Wire fraud in connection with a mortgage transaction**

The 7-year bar applies to felony convictions NOT involving fraud, dishonesty, breach of trust, or money laundering. A felony DUI resulting in death, while a serious felony, typically does not involve the financial crimes elements that trigger the permanent bar. Embezzlement, wire fraud, and forgery all involve dishonesty/breach of trust/fraud and would trigger the PERMANENT bar.

112. Under the SAFE Act, a state that has not enacted conforming legislation within the prescribed period:

✓ **C) Loses all federal mortgage program participation**

The SAFE Act provided for the federal government to administer a fallback MLO licensing and registration system for any state that failed to enact conforming legislation. HUD was initially responsible (later transferred). All states eventually enacted conforming legislation, but the federal backup system was a key enforcement mechanism in the SAFE Act's structure.

113. When an MLO submits their NMLS license application, the background check includes:

✓ **A) Drug testing and a financial stability review only**

NMLS license applications require both: (1) FBI fingerprint-based criminal history record check (checks for criminal history, especially the permanent and 7-year bar convictions); and (2) Credit report review (for financial responsibility — excessive debt, collection accounts, judgments, bankruptcies that suggest financial irresponsibility). Both components are required for the initial state MLO license application.

114. A part-time MLO originates 3 residential mortgage loans in a year, all in the same state where they are licensed. The SAFE Act's licensing requirements:

✓ **D) Apply only to full-time MLOs**

The SAFE Act does NOT have a minimum volume exemption — there is no '5 loans or fewer' exception. The licensing requirement is triggered by the TYPE of activity (taking applications, negotiating terms) for compensation, regardless of volume. An MLO who takes even a single residential mortgage application for compensation must be licensed (or registered if at an exempt institution).

115. The 20-hour pre-licensing education requirement cannot be satisfied by:

✓ **B) Taking the National SAFE MLO Test — the exam does not substitute for pre-licensing education**

The National SAFE MLO Test (the licensing exam) tests knowledge — it does NOT substitute for pre-licensing education. Both are required: the education provides instruction; the exam tests comprehension. An MLO must complete 20 hours of NMLS-approved PE AND pass the national exam (and any state-specific exams) before receiving their initial state license.

116. An MLO completes 6 hours of CE in October but cannot complete the remaining 2 hours before the December 31 renewal deadline. The MLO may:

✓ **C) Request a waiver of the remaining 2 hours**

CE must be fully completed BEFORE the license renewal deadline. Partial completion does not satisfy the requirement. If the MLO doesn't complete all 8 hours by December 31: the license lapses, origination must cease, and the MLO must complete CE and reapply. Some states may have a 'late renewal' window (with additional fees) that allows reinstatement without retaking the exam, but origination is prohibited during any lapse.

117. During the 120-day transitional license period, the MLO is subject to:

✓ **A) No regulations — the transitional period is a regulatory holiday**

The transitional license does not exempt the MLO from state regulation in the new state — they must comply with the new state's laws, regulations, and supervisory requirements during the transitional period. The transitional license simply allows origination while the full licensing process is being completed; it doesn't waive substantive regulatory compliance.

118. An MLO applicant received a deferred prosecution agreement (DPA) for bank fraud 3 years ago — charges were deferred for 2 years while the applicant complied with conditions, then dismissed. The SAFE Act permanent bar applies to:

✓ **D) Only charges that resulted in prison time**

The permanent bar under the SAFE Act is triggered by CONVICTIONS (including guilty pleas and no-contest pleas). A deferred prosecution agreement that was successfully completed and resulted in dismissal is generally not a conviction — charges were never proven or admitted to in court. However: (1) the DPA MUST be disclosed on the license application; (2) state licensing authorities may still consider the underlying conduct in their fitness determination.

119. Which NMLS-recognized activity would NOT count toward annual CE credit?

✓ **B) Teaching an NMLS-approved CE course (with NMLS approval for instructor credit)**

CE credit requires NMLS-approved courses delivered through NMLS-registered providers. Reading industry news, attending non-NMLS-approved training, or informal professional development does NOT constitute CE for NMLS purposes. Only formal NMLS-approved courses delivered by NMLS-registered providers count toward the 8-hour annual requirement.

120. Which of the following situations would trigger a MANDATORY disclosure obligation to NMLS?

✓ **C) An MLO changes their home address within the same state**

NMLS requires MLOs to report material changes promptly, including: criminal charges (not just convictions), regulatory actions, judgments, bankruptcies, and other material events. A financial crime felony charge must be disclosed — NMLS and state regulators need to know about pending criminal matters even before conviction. This allows regulators to monitor the situation and take appropriate action if needed.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.